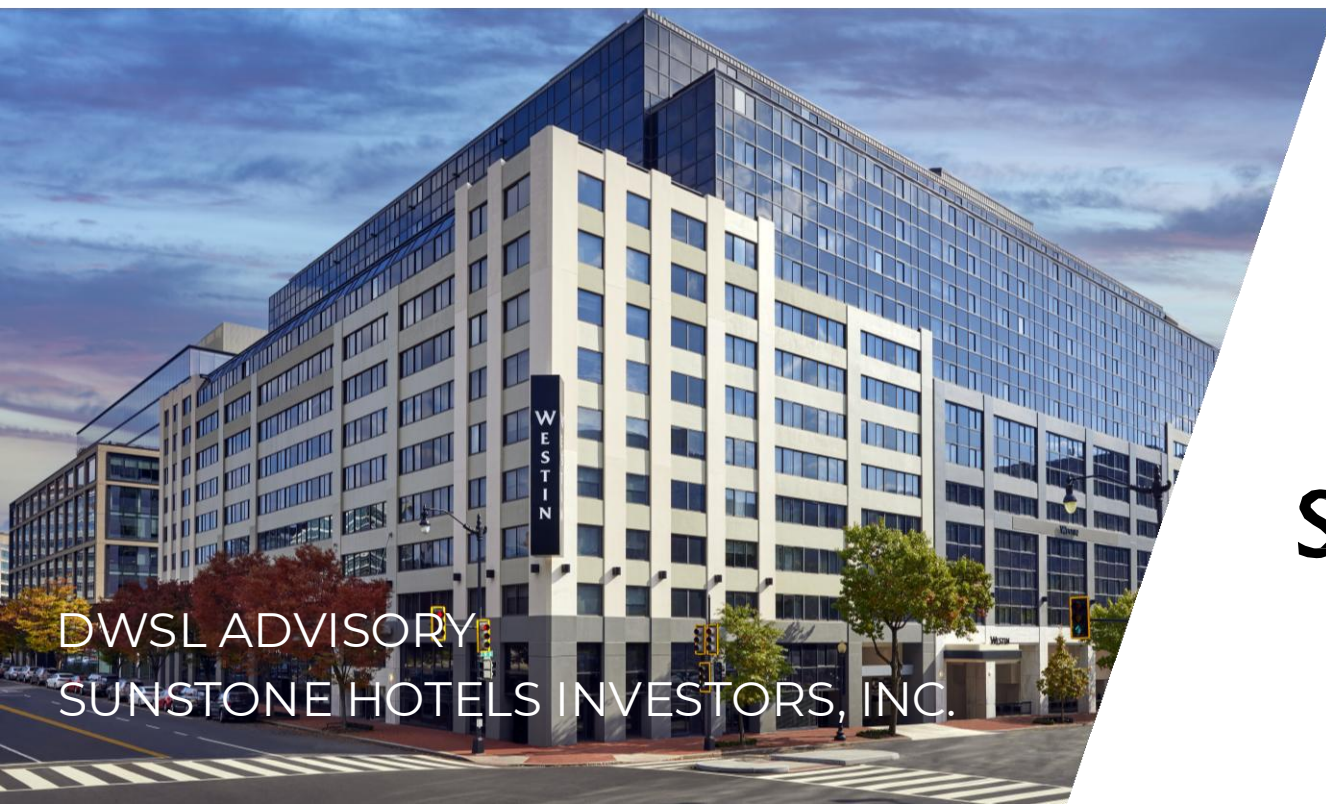
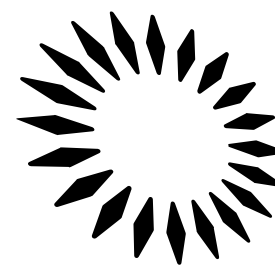




DWSL ADVISORY
SUNSTONE HOTELS INVESTORS, INC.



SUNSTONE

HOTEL INVESTORS



Hayden Damelincourt

Florida State University
B.S. Finance

Email: had25b@fsu.edu

Selected Experiences



Landon Schiffman

Florida State University
B.S. Finance and Management
Information Systems

Email: lss24f@fsu.edu

Selected Experiences



Thomas Lagoueyte

Florida State University
B.S. Finance

Email: tl24bd@fsu.edu

Selected Experiences



Nick Weides

Florida State University
B.S. Finance

Email: nsw25@fsu.edu

Selected Experiences



TABLE OF CONTENTS



SECTION I	EXECUTIVE SUMMARY	p. 4
SECTION II	SUNSTONE HOTEL INVESTORS OVERVIEW	p. 6
SECTION III	LUXURY HOTEL INDUSTRY OVERVIEW	p. 11
SECTION IV	WHY SELL NOW	p. 15
SECTION V	VALUATION	p. 22
SECTION VI	POTENTIAL BUYERS	p. 26
SECTION VII	APPENDIX	p. 31



EXECUTIVE SUMMARY





Sunstone Hotels Investors

Sunstone Hotel Investors is reaching record market undervaluation with declining profitability

In order to capture a rare premium, an acquisition is advised

Financial Sponsors



Strategic Sponsors

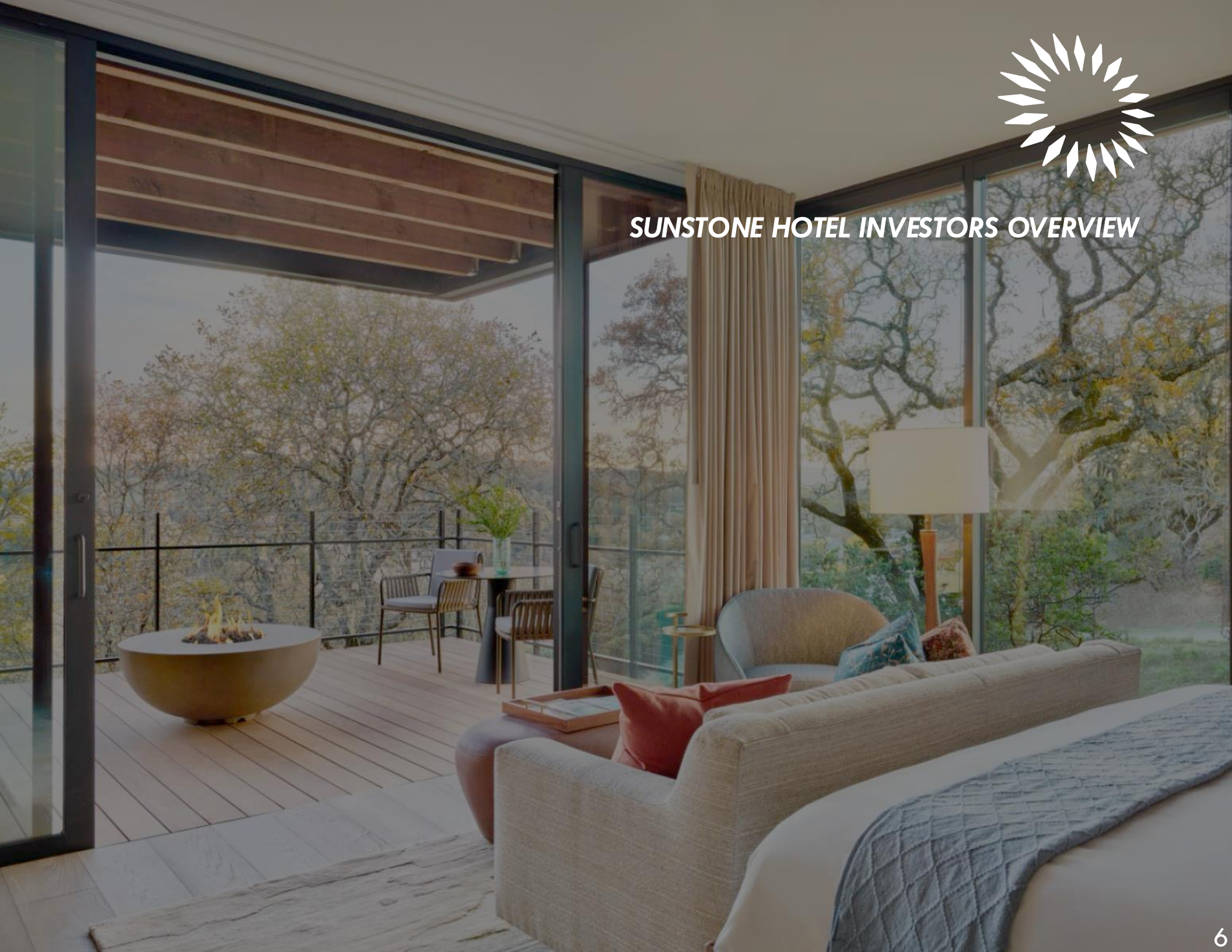


Our strongest recommendation is a sale to KSL Capital Partners. KSL's specialization in travel and leisure investments, combined with its high-performing hospitality operating platforms, positions the firm to enhance Sunstone's portfolio through operational improvements and strategic repositioning.

These strategic buyers have consistently expanded their portfolios through acquisitions of upper-upscale and luxury hotels in high-demand travel markets. With both firms focused on scaling institutional hospitality platforms, Sunstone's portfolio represents a strong strategic fit and an opportunity to expand in key U.S. markets.



SUNSTONE HOTEL INVESTORS OVERVIEW

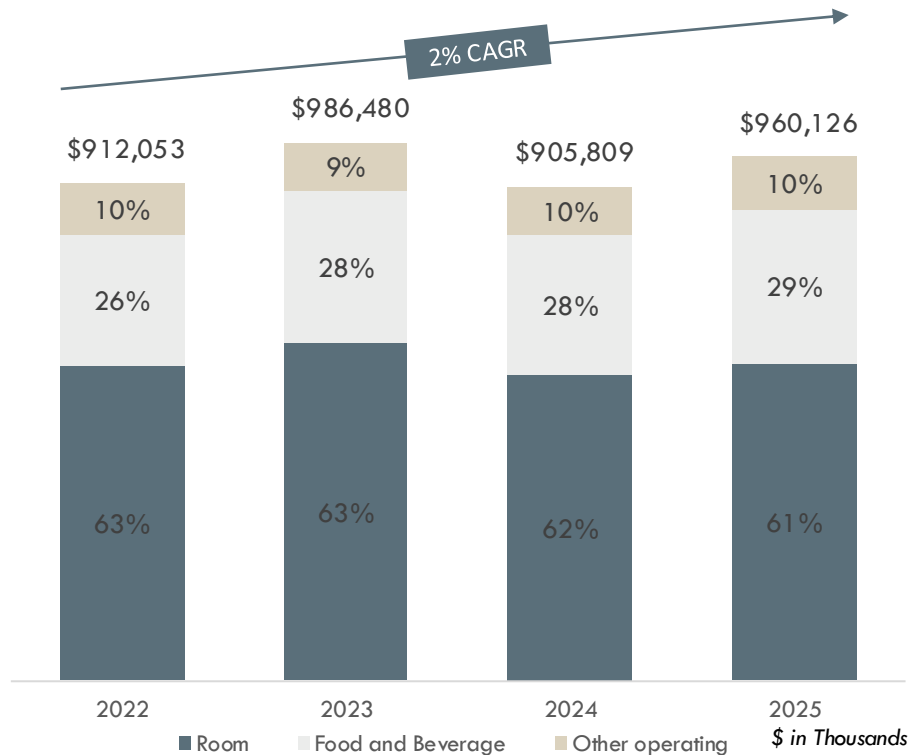


SUNSTONE HOTEL INVESTORS OVERVIEW



Public Lodging REIT (NYSE: SHO)

Revenue Breakdown & Business Model



Sunstone Hotel Investors (REIT)

Taxable REIT Subsidiary (TRS Lessee)

Third-Party Hotel Operators (Marriott, Hyatt, Hilton, Four Seasons)



14
Hotels



7,000
Rooms



8
States

Leadership



Bryan A. Giglia
CEO and Director



Robert C. Springer
President and CIO



Aaron R. Reyes
Executive VP and CFO

Key Metrics - 2025

Revenue	\$960.126 M
EBITDAre	\$221.008 M
RevPAR Index	\$244.44 2.38x
Occupancy	73.2%
ADR	\$333.94
Net Debt / EBITDAre	5.63x

SUNSTONE HOTELS INVESTORS PORTFOLIO



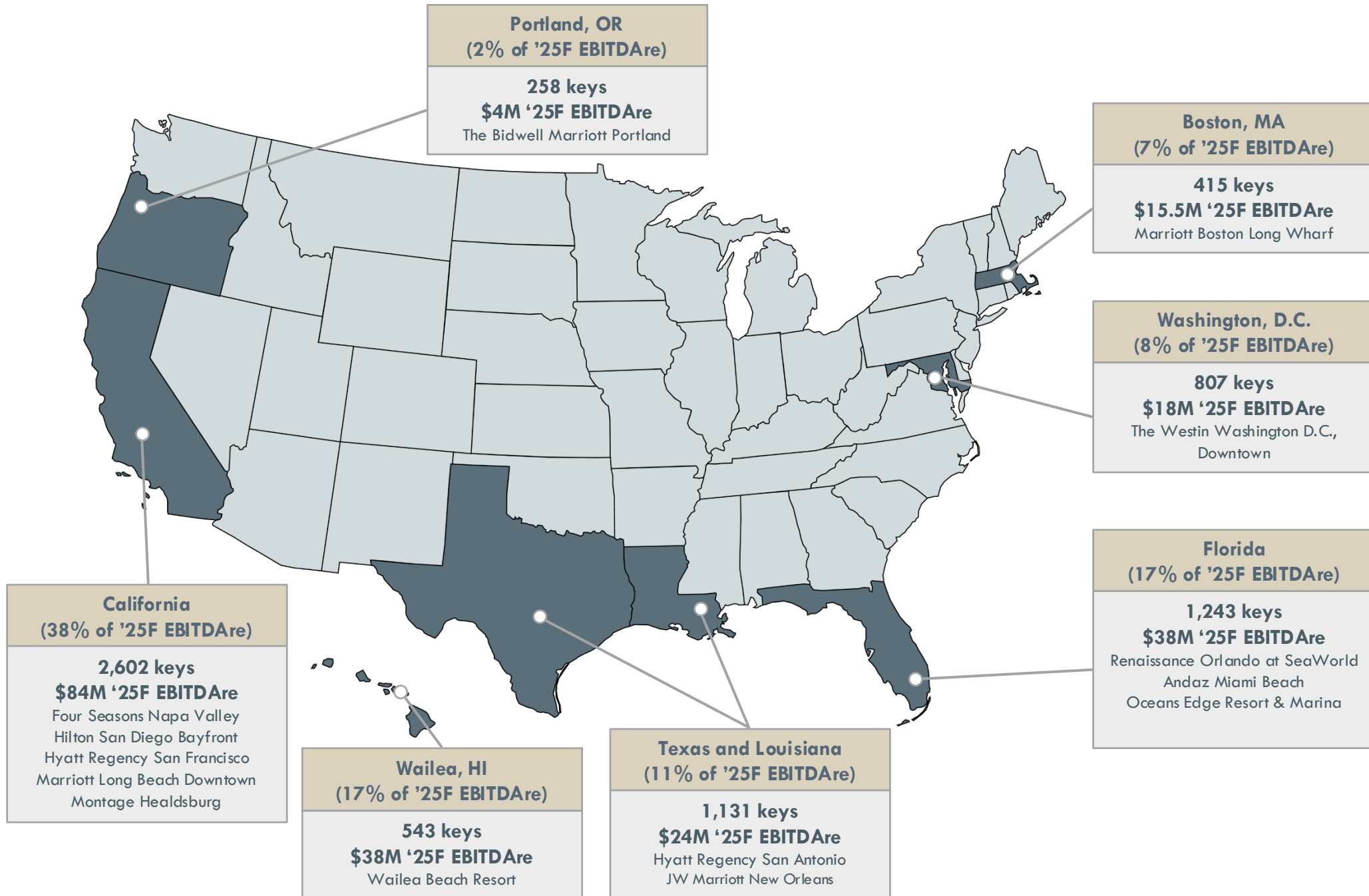
Sunstone's portfolio contains resort, convention, and urban assets across luxury and upper-upscale segments

Resort	Leisure-focused destinations High ADR and seasonal demand	Convention	Hotels near major convention centers Strong groups and business travel	Urban	Major metropolitan markets Corporate and weekday demand
 Upper Upscale Resort	 Upper Upscale Resort	 Upper Upscale Convention	 Upper Upscale Convention	 Upper Upscale Urban	 Upper Upscale Urban
 Upper Upscale Resort	 Luxury Urban	 Upper Upscale Urban	 Upper Upscale Urban	 Upper Upscale Convention	 Upper Upscale Convention
 Upper Upscale Convention	 Luxury Resort	 Luxury Resort	 Luxury Urban	 Upper Upscale Urban	 Luxury Resort
 Upper Upscale Convention	 Upper Upscale Urban	 Upper Upscale Convention	 Luxury Convention	 Upper Upscale Urban	 Upper Upscale Urban

SUNSTONE HOTELS INVESTORS PORTFOLIO



Sunstone's geographically diversified portfolio spans key U.S. markets with varied demand types



CAPITAL RECYCLING & VALUE CREATION



Sunstone creates value by investing in assets, enhancing performance, and recycling capital into new growth opportunities

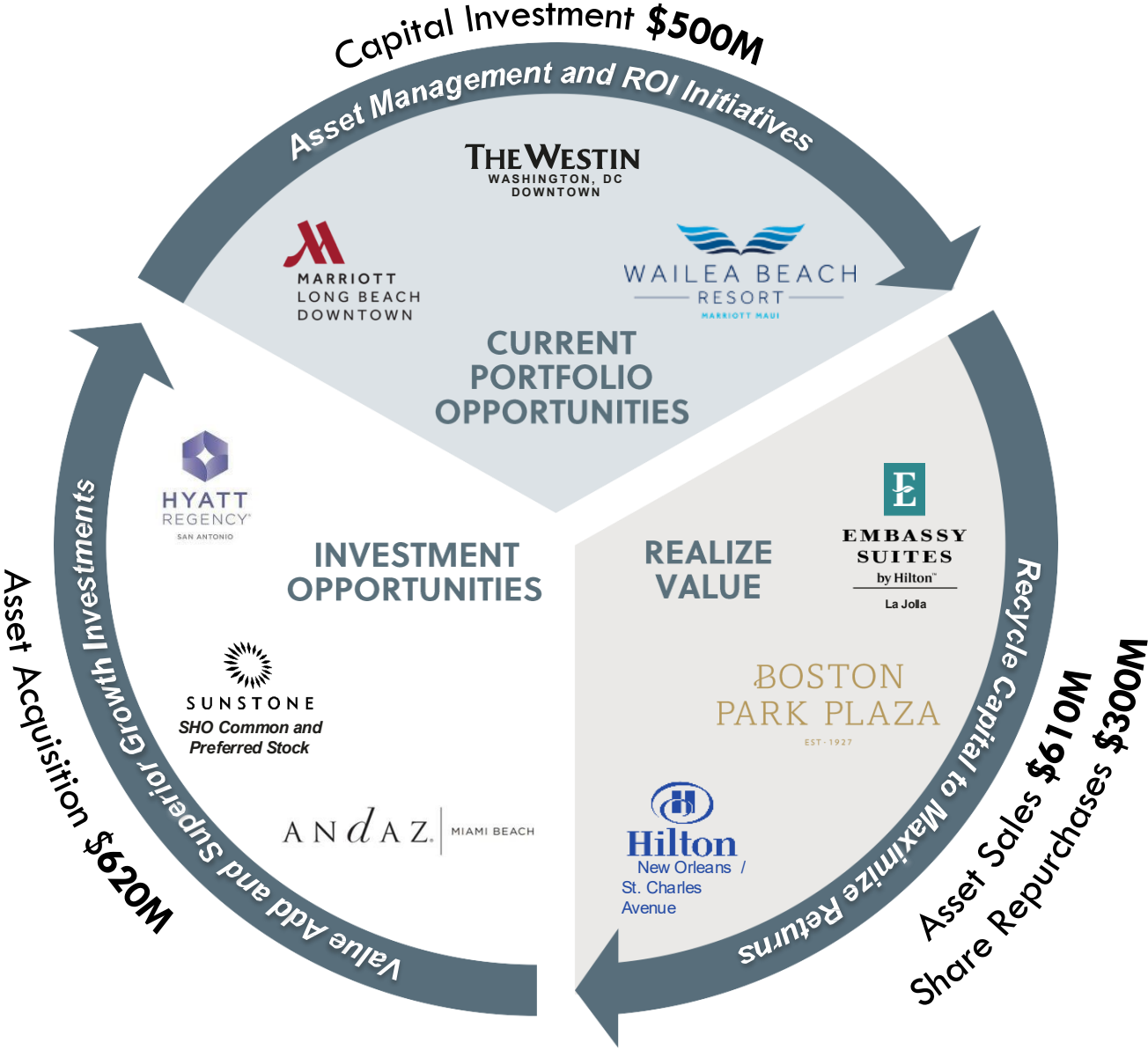
Sunstones Capital Recycling Strategy

Increase property value through asset management and strategic upgrades

Sell assets once value is maximized to generate returns

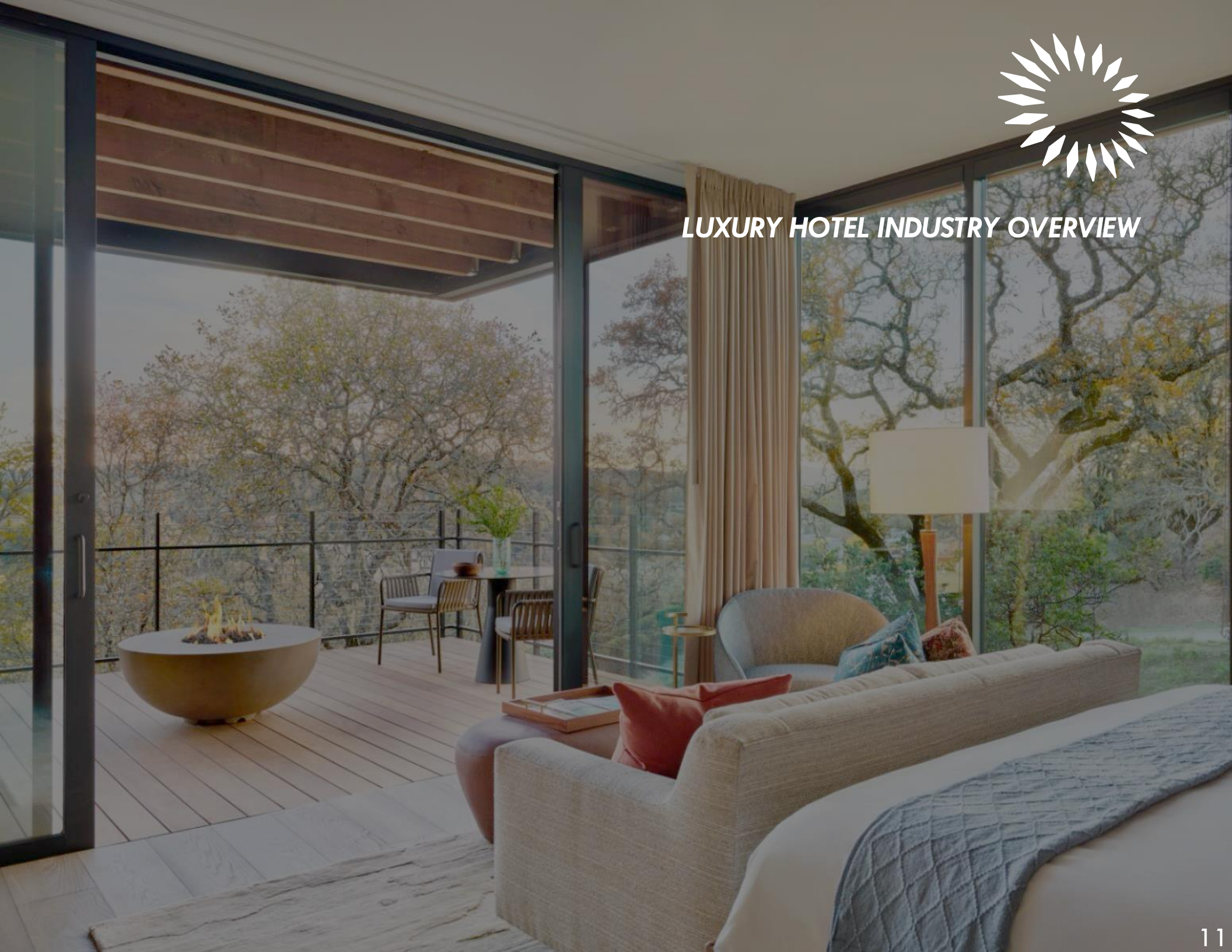
Use proceeds (\$610M asset sales + \$300M share repurchase) to reinvest in new opportunities (\$620M asset acquisition)

Creates a continuous cycle of investment, value creation, and reinvestment





LUXURY HOTEL INDUSTRY OVERVIEW



U.S. HOTEL INDUSTRY OVERVIEW



Public Lodging Market | Premium Segment Focus

Market Positioning

Hotel Segments

Luxury

Upper Upscale

Upscale

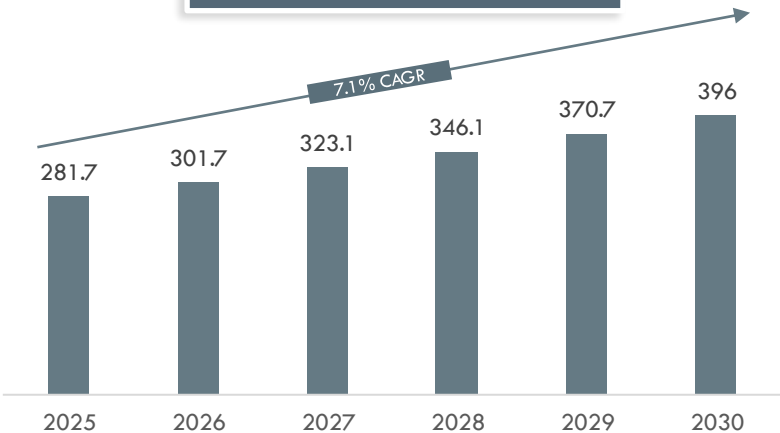
Upper Midscale

Midscale

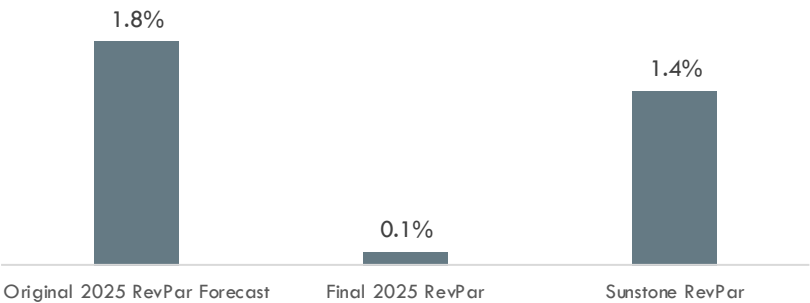
Sunstone Focus

- Concentrated in upper-upscale and luxury hotels.
- Portfolio spans resort, convention, and urban assets.
- Positioned in the premium end of the lodging market.

CAGR (\$B)



RevPAR Growth YoY



Strong M&A Environment

83%
YoY Increase in
Deal Value

\$56.6B
YoY Increase in
Deal Value

83%
YoY Increase in
Deal Value

Growth Drivers

Leisure Travel

Supports resort and destination-oriented properties, with demand driven by discretionary consumer spending and travel activity.

10.56% CAGR

Business Transient

Drives weekday occupancy in urban and corporate-focused markets through individual business travel.

3% CAGR

Group / Convention

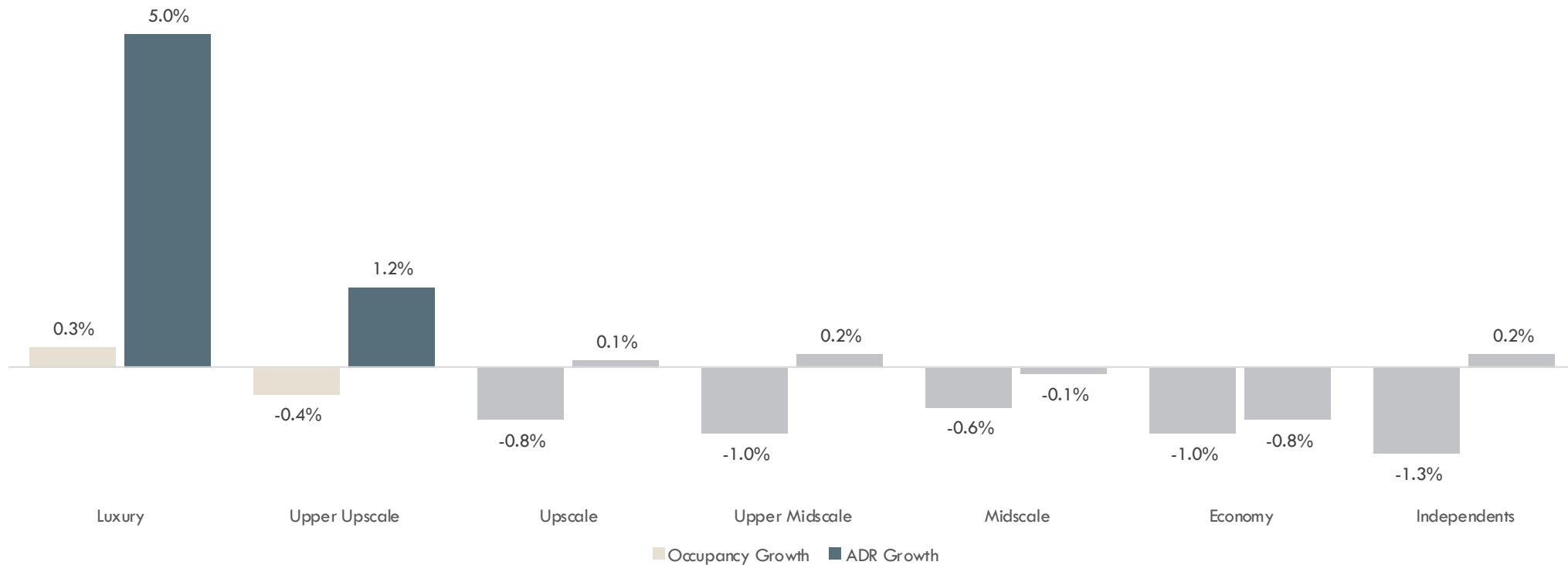
Supports large-format hotels through meetings, events, and conference-related demand.

8% CAGR

U.S. OCCUPANCY & ADR % CHANGE BY CHAIN SCALE



Luxury and upper-upscale hotels are outperforming other segments, with stronger occupancy and ADR growth



Luxury Hotels: +0.3% occupancy growth and +5.0% ADR growth

ADR Growth: -0.4% occupancy growth and +1.2% ADR growth

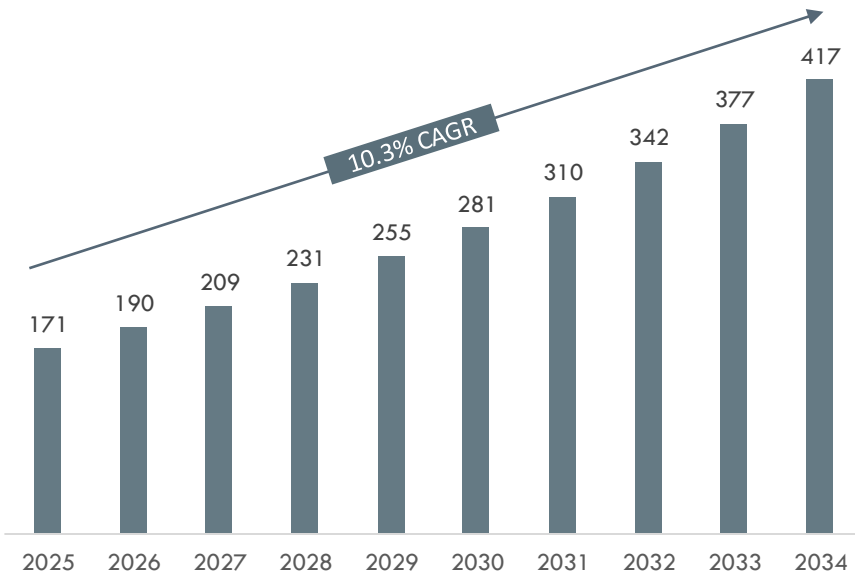
Other segments experience declining occupancy ranging from -0.6% to -1.3% and low to declining ADR growth from +0.2% to -0.8%

LUXURY & UPPER UPSCALE MARKET OVERVIEW

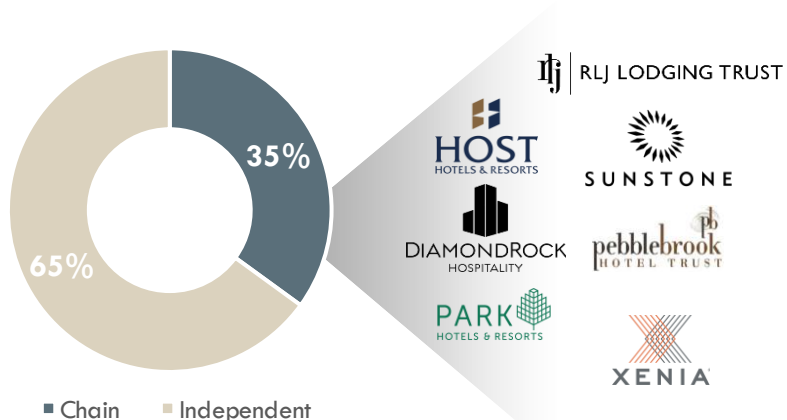


Public Lodging Sector | Growth, Demand, and Fragmentation

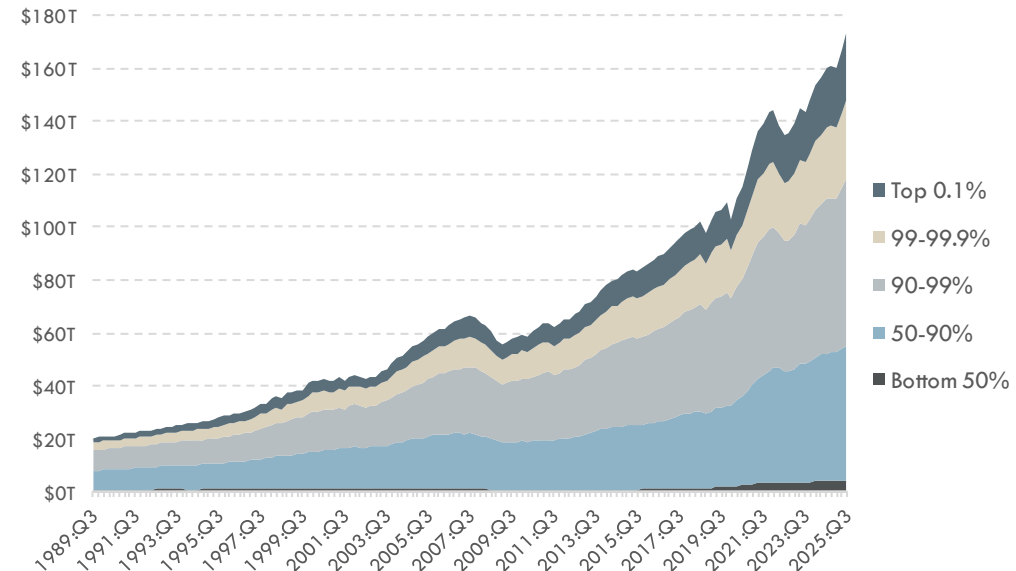
Accelerating Market Growth



Fragmented Market



Stable & Growing Demand for Quality



Key Success Factors

Strong brand & loyalty programs

Effective revenue management & dynamic pricing

Differentiated guest experiences

Technology integration & personalization

Operational efficiency & cost control

Prime locations & premium assets



WHY SELL NOW

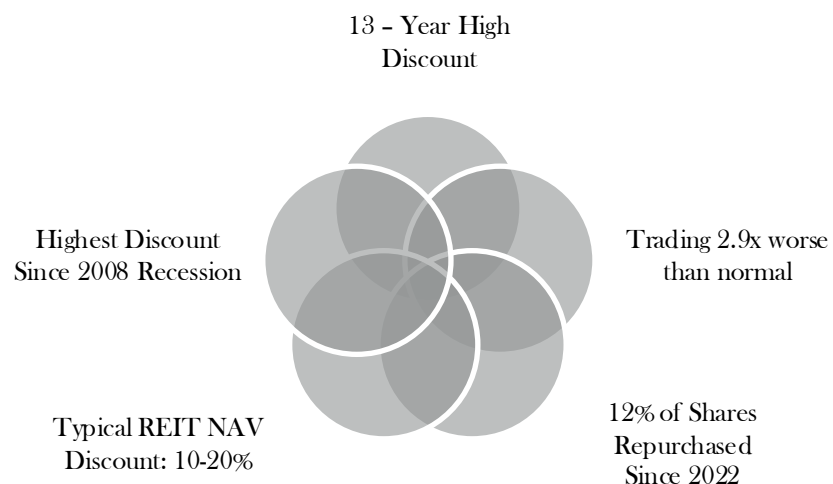
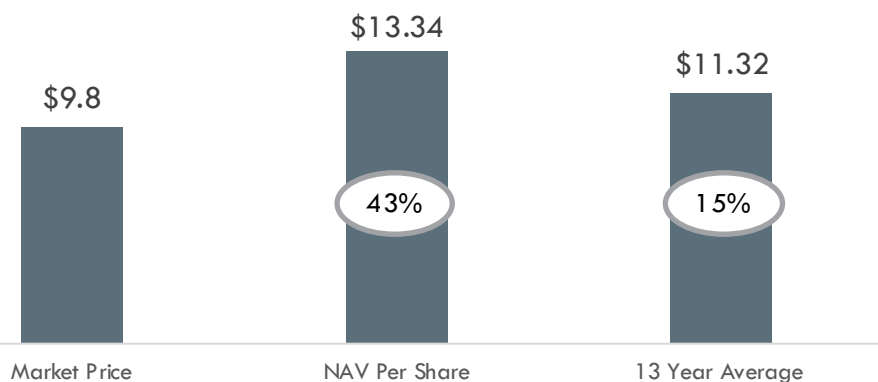


HISTORIC MARKET UNDERVALUATION

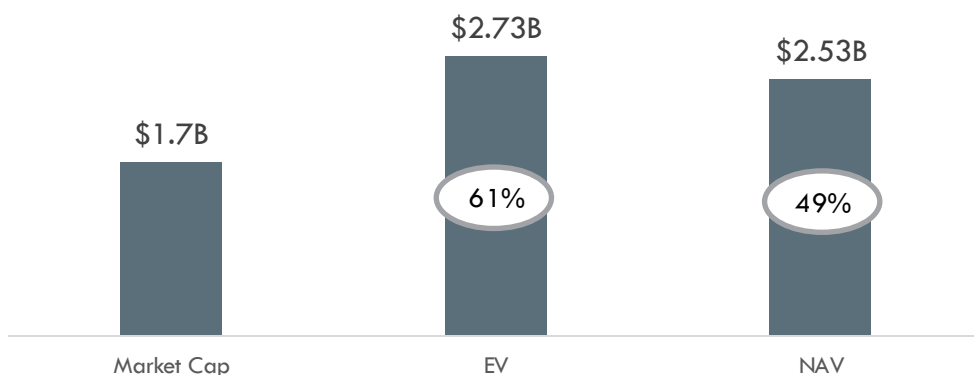


Sunstone's share price trades at a discount to NAV and historical averages, highlighting a potential market undervaluation

Current Share Price vs. NAV and 13-Year Average



Market Cap vs. Enterprise Value vs. NAV



Why This Discount is Mispriced

Valuation Disconnect

- Shares trade at a **43% discount** to NAV and below the **13-year average**, despite stable underlying real estate value.

Private Market Support

- The gap between **market cap, EV, and NAV** implies the public market is valuing Sunstone below what its assets are worth.

Management Confirmation

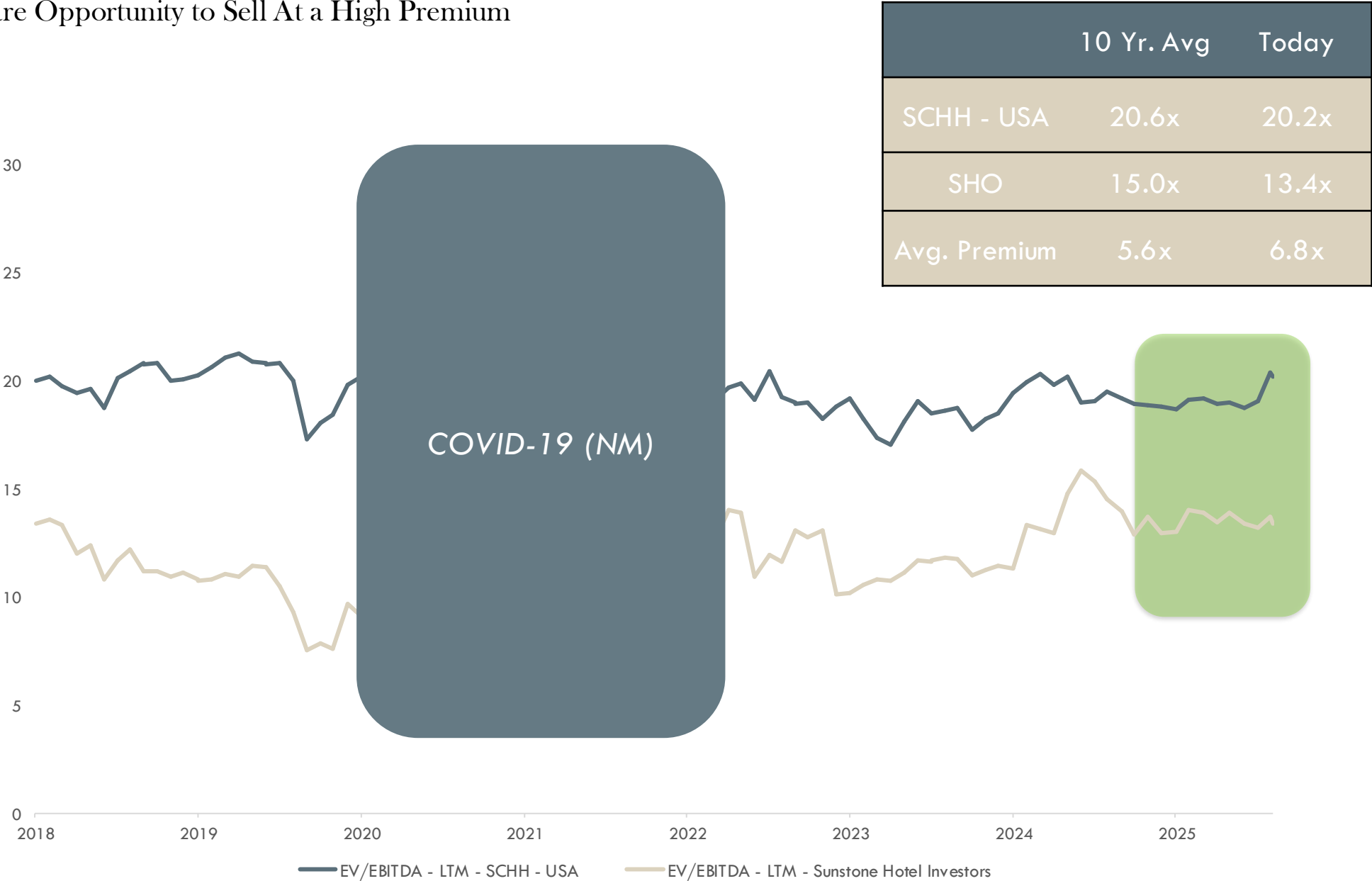
- Ongoing **share repurchases** at a steep discount suggest management also views the stock as undervalued.

RIGHT MOMENT IN TIME- VALUATION



Current market conditions create a rare opportunity to sell at a premium

Rare Opportunity to Sell At a High Premium

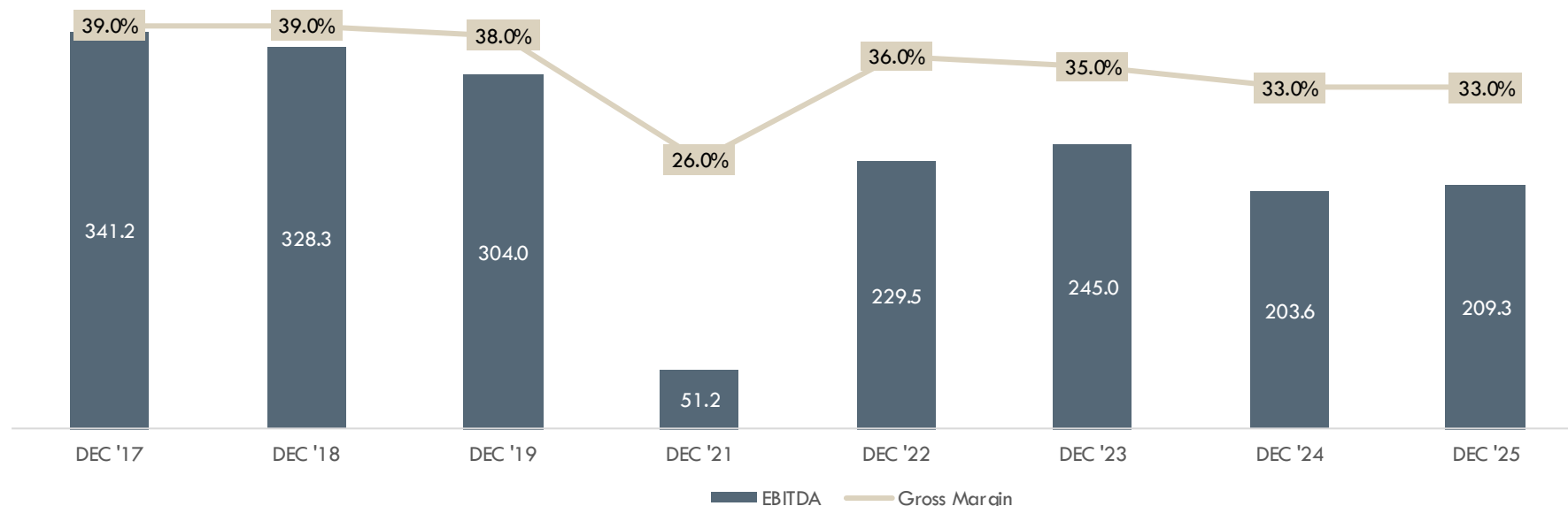


DECLINING PROFITABILITY DUE TO INCREASING COSTS

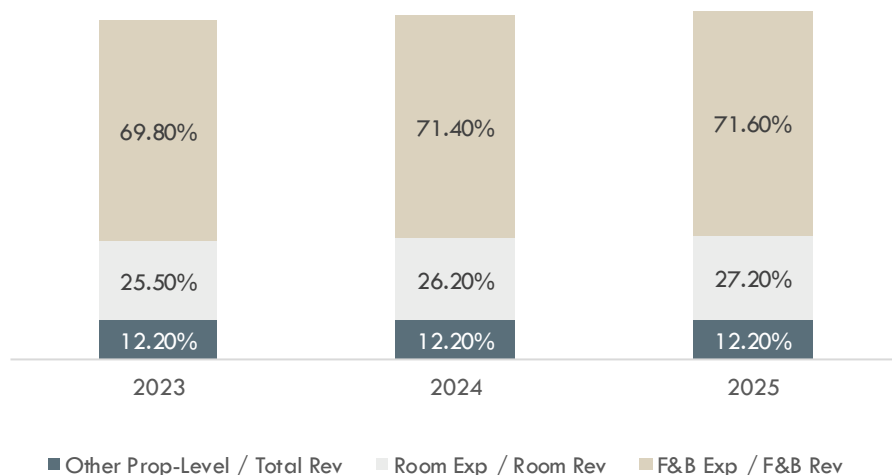


Rising labor, operating, and debt costs are putting increasing pressure on Sunstone's profitability

Long-term Declining Profitability



Operational Costs Straining Operating Income



Other Costs Trends Taxing Profitability

Union Contract Escalation

- 25.7% of workers unionized
- \$14.3M increase in Comparable Portfolio hotel operating expenses explicitly tied to union deals
- Includes spillover: higher non-union wages, training, benefits, staffing ratios

Debt Service Drag

- \$930M debt at 5% annual interest rate (\$46.5M /y)
- Debt service eats 28% of operating cash flow
- High risk at rising rate and downturn scenarios
- Limits flexibility: Harder to fund growth, CapEx, or weather slowdowns

DILUTIVE M&A FUELING INEFFICIENT CAP-EX

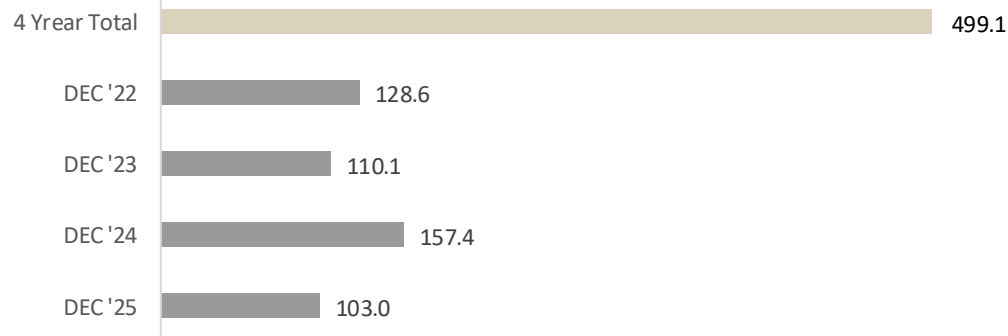


Dilutive acquisitions and rising CapEx are reducing returns and weakening portfolio performance

What is Dilutive M&A

- Acquisition cap rate falls below cost of capital, leading to immediate FFO/share dilution
- Hotel REITs carry full operational risk: labor, CapEx, brand, and revenue volatility simultaneously
- SHO pattern: acquire at peak valuations → renovate → absorb 12-24 months displacement → underperform legacy portfolio

CapEx Escalation



Why CapEx No Longer Works

- Every \$1 of CapEx creates \$1 of NAV – but market credits it at only **65 cents**
- Industry trailing Implied Cap Rate of 8.9%
- Two Renovation Hotels spent \$157.4M in 2024 alone – 2025 RevPAR still **39% below** comparable portfolio



Hyatt Regency San Antonio

Acquired April 2024 for \$230M
(\$364K/key)

\$25M in CapEx

Year-one occupancy 66.1%, RevPAR
\$127.52 vs. portfolio avg \$244 (–47%)

Incremental room revenue +\$7.5M vs.
incremental operating costs +\$7.9M = **net**
–\$0.4M



Activist investors are pushing for strategic changes to unlock shareholder value

"Sunstone's current trajectory as a subscale lodging REIT is simply not tenable"

"The Board needs immediate refreshment and must commence a robust strategic alternatives process to unlock value for shareholders."

-Tarsadia Capital, Sep 2025 (2nd Largest Shareholder of SHO)

WHY SELL NOW



Sunstone has a unique opportunity to sell at a desirable premium

Public Market
Undervaluation

35%

13-Year Low NAV
Discount

Long-Term Profitability
Decline

6.8%

Decline in
EBITDA Margin
Over Last 8 Years

Activist Pressure



Inefficient Diluted M&A

8.9%

Capitalization Rate

Premium of Sotherly Hotels Sells

152.7%

over company's closing price

Vulnerabilities

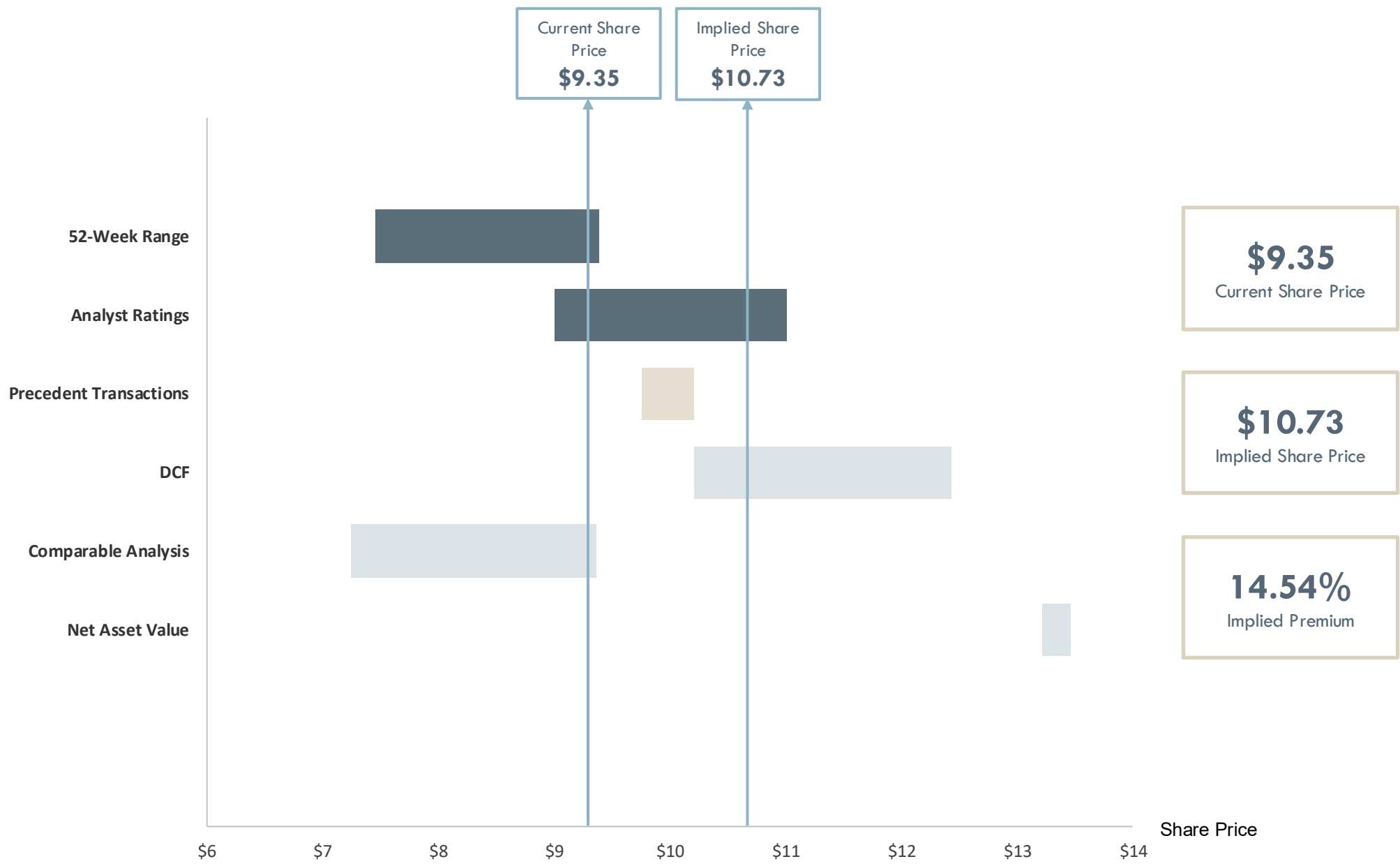
Due to small portfolio of
construction delays and natural
disasters



VALUATION



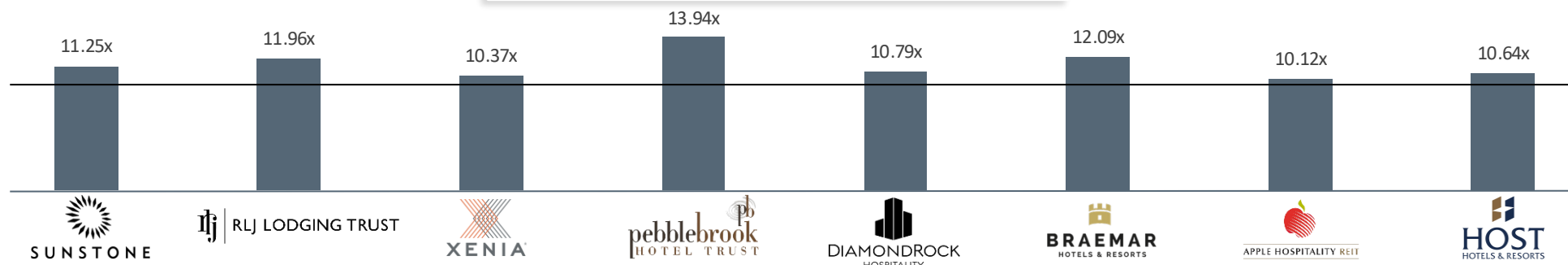
SHARE PRICE VALUATION OVERVIEW



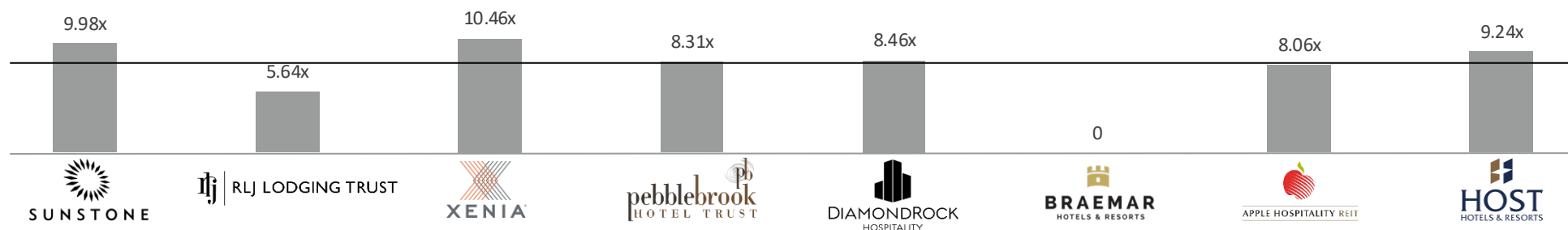
COMPARABLE COMPANIES



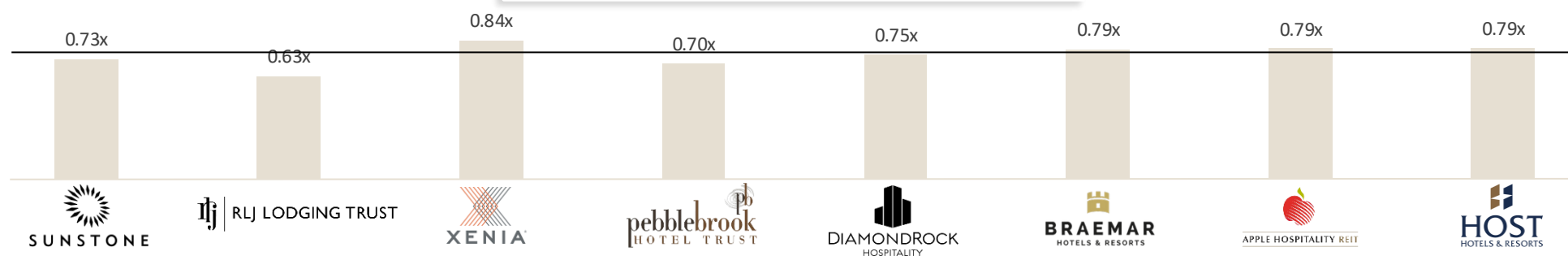
EV/EBITDA NTM (x)



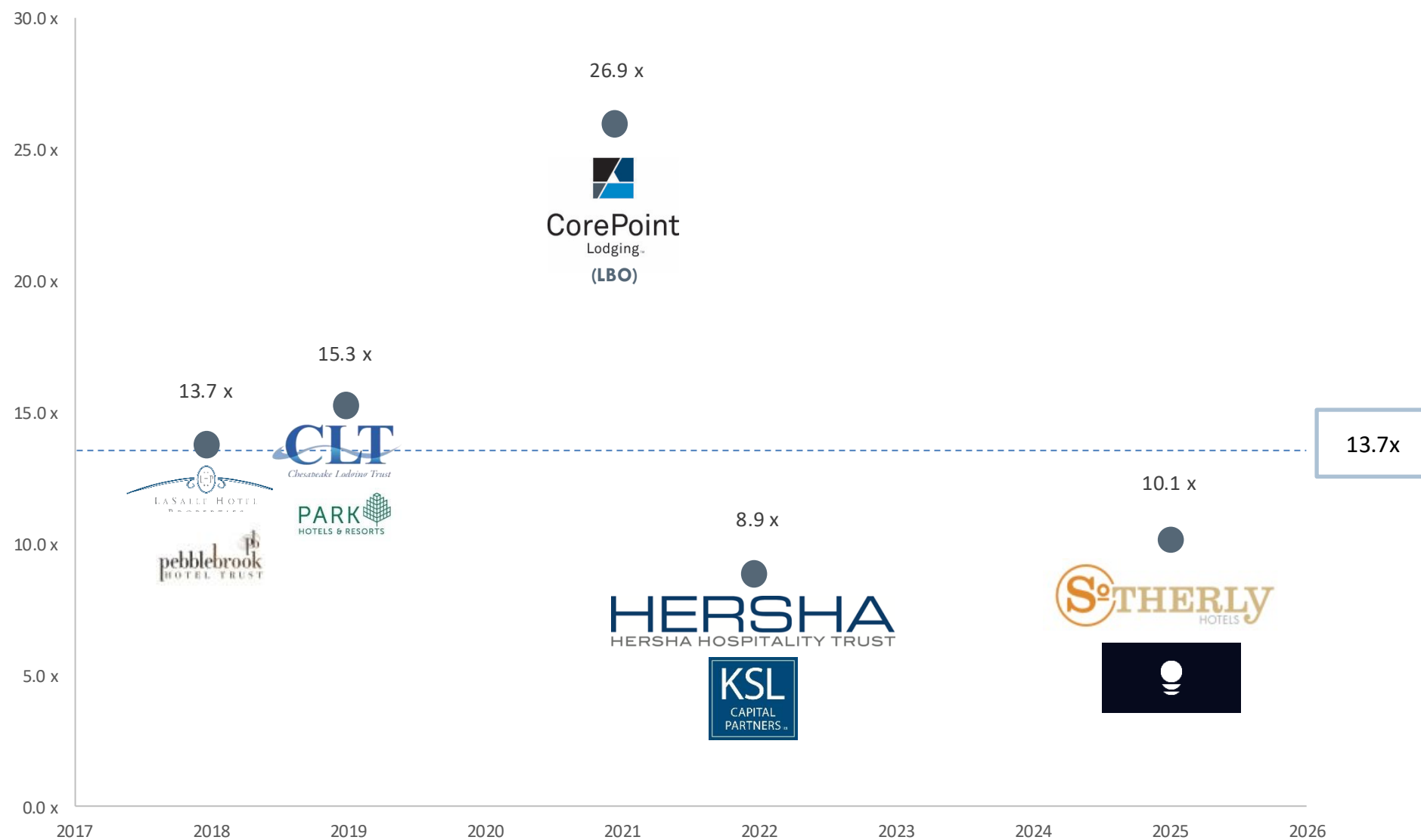
P/CFFO NTM (x)



P/NAV (x)



PRECEDENT TRANSACTIONS





POTENTIAL BUYERS



POTENTIAL STRATEGIC BUYERS



COMPANY	OVERVIEW	SIZE & CRITERIA	ACQUISITIONS	RATIONALE
	Largest U.S. Owner of luxury and upper-upscale hotels based in Bethesda, MD, focused on institutional hospitality assets in major resort and gateway markets	Real Estate AUM: \$25B Total Keys: 72,000 Typical Deal Size: \$500M-\$3B Main Geographic Presence: CA, FL, HI, TX, NY	Hyatt Regency Maui \$780M 1 Hotel 810 keys Hawaii	Sunstone's institutional-quality Marriott and Hyatt portfolio aligns with Host's strategy of owning large luxury and upper-upscale hotels, providing opportunities for portfolio scale, geographic expansion, and operational efficiencies
	Public lodging REIT headquartered in Bethesda, MD, focused on investing in upper-upscale hotels and resorts in major U.S. urban and resort markets	Real Estate AUM: \$7B Total Keys: 13,000 Typical Deal Size: \$100M-\$500M Main Geographic Presence: CA, FL, MA, WA, TX	LaSalle Hotel Properties \$5.2B 41 hotels 10,000+ keys U.S. gateway markets	With Pebblebrook's proven value-add strategy and focus on lifestyle and resort hotels, the firm is well positioned to unlock additional value from Sunstone's upper-upscale portfolio through repositioning and active asset management

Sunstone's institutional-quality hotel portfolio in high-barrier U.S. markets makes the company an attractive strategic acquisition opportunity.

POTENTIAL FINANCIAL SPONSORS



COMPANY	OVERVIEW	SIZE & CRITERIA	ACQUISITIONS	RATIONALE
	Global private real estate and hospitality investment firm headquartered in Miami Beach, FL, specializing in acquiring and repositioning hotel portfolios	Real Estate AUM \$125B Total Keys: 15,000 Typical Deal Size: \$500M-\$3B Main Geographic Presence: NY, CA, FL	Edwardian Hotels \$1B 10 hotels 2,053 keys London, UK	With founder Barry Sternlicht's success developing luxury and lifestyle hotel brands, Starwood can leverage its deep luxury hospitality experience and relationships to enhance performance across Sunstone's portfolio
	Private equity firm based in Denver, CO, focused on luxury resorts and experiential hospitality platforms including ski resorts, destination resorts, and hospitality operating companies	Real Estate AUM: \$23B Total Keys: 20,000+ Typical Deal Size: \$300M-\$2B Main Geographic Presence: CO, CA, HI	Hersha Hotels & Resorts \$1.4B 25 hotels 3,811 keys NY, MA, PA, FL	Sunstone's upper-upscale portfolio complements KSL's expertise in luxury hospitality operations, enabling the firm to expand into high-barrier urban markets as well as key resort destinations while scaling its existing travel and leisure investment platform
	Private equity and alternative asset manager based in New York, NY, and the largest global real estate investor with extensive experience executing institutional-scale hospitality take-private transactions	Real Estate AUM: \$319B Total Keys: 26,000+ Typical Deal Size: \$1B-\$6B Main Geographic Presence: CA, FL, NY	Strategic Hotels & Resorts \$6B 18 hotels 7,921 keys CA, NY, IL	Significant capital paired with a proven strategy of acquiring portfolios below NAV and creating value through repositioning, Blackstone can expand its exposure to the growing luxury hotel sector

KSL's travel and leisure specialization along with proven hospitality operating platforms position the firm to create value across Sunstone's portfolio.



Investment Thesis Synchronization



2024
\$1.4B

2023
Private

2025
\$2.0B

Up Branding Opportunity

Majority of hotels have the potential to be upscaled into luxury hotels as they did for Hersha



Independent Hotels can be converted into branded hotels, which usually brings stronger distribution, occupancy, and rate



Brand Flexibility

Existing Management Relationships



100% of hotels unencumbered meaning they are not tied up by heavy debt, long-term restrictions, so KSL can change managing partners and terms

Existing Management Ecosystem



Flexible operator models to fit need of each individual hotel

Leverage the revenue management and marketing capabilities of affiliated hotel management companies across the portfolio

Opportunity to internalize some of those leased F&B operations capturing more margin “selective service mindset”



Proposed Sell-Off of Non-Core Assets



Key Financials

Basic Facts:
20 years owned,
62.3% occupancy,
RevPAR \$116

Basic Facts:
14 years owned,
71.3% occupancy,
RevPAR \$174



Why It's Not Working

- Mature, convention/theme-park hotel with limited remaining upside.
- Returns below Sunstone's top coastal/luxury resorts.
- Capital could be redeployed into higher-growth assets.
- Event- and convention-driven hotel in a non-core market they're already exiting.
- Cash flow tied to volatile citywide and mega-events.
- -10% YoY RevPar decline is the highest in the portfolio

Why Not KSL

- Little realistic room to rebrand or upscale without big capex.
- Reliant on commoditized group and family park demand, not high-spend leisure.
- Lacks clear operational or space-use fixes to drive step-change NOI.
- Margins already high, so limited easy operational upside.
- Already at JW brand level with little room to upscale further.
- Lacks the coastal/experiential resort profile KSL targets

Potential Joint Venture Sponsors

Luis Conteras (HNWI)

- Proven JV history with KSL on Sereno Hotels.
- Entrepreneur focus on ultra-luxury, design-led resorts.
- Adds local development/operating know-how and brand vision.

Cheyne Capital

- Repeat lender/partner on Sereno and Beaumier deals.
- Specializes in flexible, higher-yield real-estate credit.
- Adds creative financing, lowers blended cost of capital.

Gencom

- Co-invested with KSL at Ritz-Carlton Key Biscayne.
- Owner-operator focused on luxury resort turnarounds.
- Adds operating expertise and redevelopment capabilities.



APPENDIX





	2025	2024	Change \$	Change %
(in thousands, except statistical data)				
REVENUES				
Room	\$ 582,669	\$ 559,061	\$ 23,608	4.2 %
Food and beverage	278,680	256,222	22,458	8.8 %
Other operating	98,777	90,526	8,251	9.1 %
Total revenues	960,126	905,809	54,317	6.0 %
OPERATING EXPENSES				
Hotel operating	600,964	562,827	38,137	6.8 %
Other property-level expenses	117,348	110,833	6,515	5.9 %
Corporate overhead	31,590	29,050	2,540	8.7 %
Depreciation and amortization	134,508	124,507	10,001	8.0 %
Total operating expenses	884,410	827,217	57,193	6.9 %
Interest and other income	10,964	13,179	(2,215)	(16.8) %
Interest expense	(52,965)	(50,125)	(2,840)	(5.7) %
(Loss) gain on sale of assets, net	(8,751)	457	(9,208)	(2,014.9) %
(Loss) gain on extinguishment of debt	(180)	59	(239)	(405.1) %
Income before income taxes	24,784	42,162	(17,378)	(41.2) %
Income tax (provision) benefit, net	(216)	1,100	(1,316)	(119.6) %
NET INCOME	24,568	43,262	(18,694)	(43.2) %
Preferred stock dividends, net of gain on repurchases	(16,110)	(15,228)	(882)	(5.8) %
INCOME ATTRIBUTABLE TO COMMON STOCKHOLDERS	\$ 8,458	\$ 28,034	\$ (19,576)	(69.8) %

	2025	2024
Net income	\$ 24,568	\$ 43,262
Depreciation and amortization	134,508	124,507
Interest expense	52,965	50,125
Income tax provision (benefit), net	216	(1,100)
Loss (gain) on sale of assets, net	8,751	(457)
EBITDAre	221,008	216,337
Amortization of deferred stock compensation	8,699	10,456
Amortization of right-of-use assets and obligations	(625)	(425)
Loss (gain) on extinguishment of debt	180	(59)
Gain on insurance recoveries, net	(1,050)	(430)
Pre-opening costs	6,471	2,633
Property-level legal settlement costs	—	1,182
Management transition costs	1,869	—
Adjustments to EBITDAre, net	15,544	13,357
Adjusted EBITDAre	\$ 236,552	\$ 229,694

	2025			2024			Change		
	Occ%	ADR	RevPAR	Occ%	ADR	RevPAR	Occ%	ADR	RevPAR
Comparable Portfolio	73.2 %	\$ 333.94	\$ 244.44	72.2 %	\$ 333.85	\$ 241.04	100 bps	0.0 %	1.4 %

	Payment due by period				
	Total	Less Than 1 year	1 to 3 years	3 to 5 years	More than 5 years
Debt (1)	\$ 955,000	\$ —	\$ 105,000	\$ —	\$ 850,000
Interest obligations on debt (1) (2)	241,219	46,383	96,915	91,328	6,593
Operating lease obligations, including imputed interest (3)	8,732	2,563	4,705	503	961
Construction commitments	38,926	38,926	—	—	—
Total	\$ 1,243,877	\$ 87,872	\$ 206,620	\$ 91,831	\$ 857,554

TL;DR: QUICK FACTS ON 2025 HOTEL PERFORMANCE BENCHMARKS

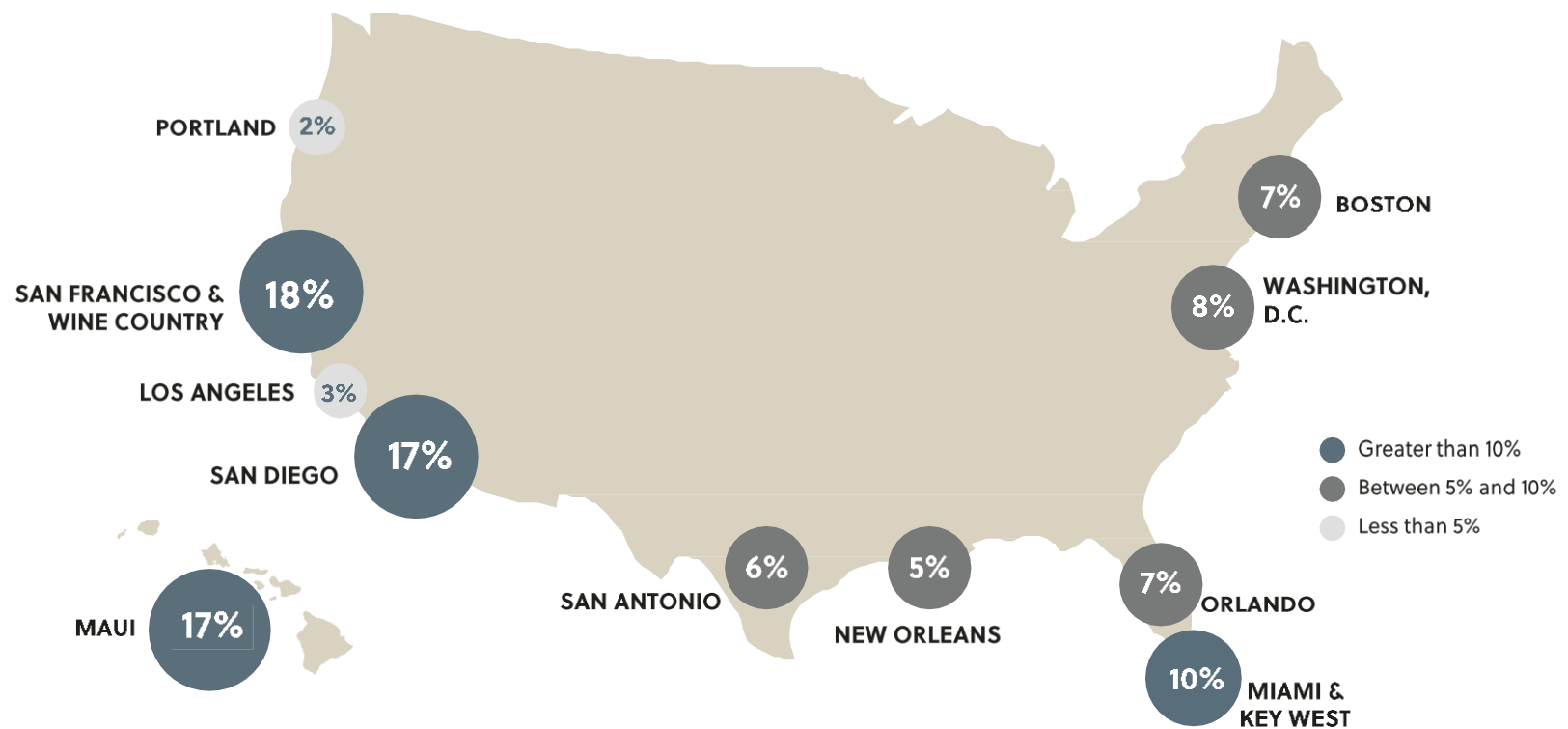
- U.S. hotels are stable and rate-focused: National averages show 63.4% occupancy, \$162 ADR, and \$102.78 RevPAR as rate strength drives revenue growth

$$\text{Index: } (244.44 / 102.78) * 100 = 237.83 \text{ (2.38 x)}$$

$$\text{Net Debt / EBITDAre: } 1,243,877,000 / 221,008,000 = 5.63x$$



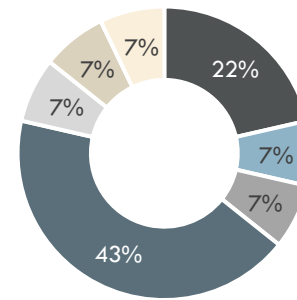
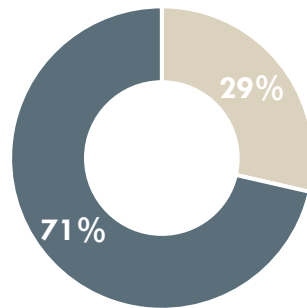
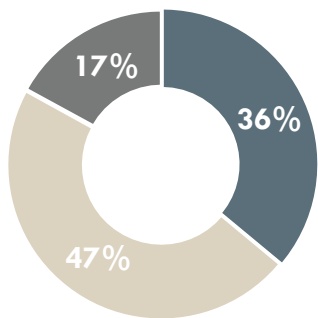
	December 31, 2025	December 31, 2024
ASSETS		
Investment in hotel properties, net	\$ 2,771,180	\$ 2,856,032
Operating lease right-of-use assets, net	4,418	8,464
Cash and cash equivalents	109,189	107,199
Restricted cash	76,531	73,078
Accounts receivable, net	33,662	34,109
Prepaid expenses and other assets, net	34,025	27,757
Total assets	\$ 3,029,005	\$ 3,106,639
LIABILITIES AND STOCKHOLDERS' EQUITY		
LIABILITIES		
Debt, net of unamortized deferred financing costs	\$ 918,086	\$ 841,047
Operating lease obligations	7,348	12,019
Accounts payable and accrued expenses	63,146	52,722
Dividends and distributions payable	22,975	24,137
Other liabilities	72,832	72,694
Total liabilities	1,084,387	1,002,619
Commitments and contingencies (Note 15)		
STOCKHOLDERS' EQUITY		
Preferred stock, \$0.01 par value, 100,000,000 shares authorized:		
Series G Cumulative Redeemable Preferred Stock, 2,650,000 shares issued and outstanding at both December 31, 2025 and 2024, stated at liquidation preference of \$25.00 per share	66,250	66,250
6.125% Series H Cumulative Redeemable Preferred Stock, 4,545,903 shares issued and outstanding at December 31, 2025 and 4,600,000 shares issued and outstanding at December 31, 2024, stated at liquidation preference of \$25.00 per share	113,648	115,000
5.70% Series I Cumulative Redeemable Preferred Stock, 3,990,973 shares issued and outstanding at December 31, 2025 and 4,000,000 shares issued and outstanding at December 31, 2024, stated at liquidation preference of \$25.00 per share	99,774	100,000
Common stock, \$0.01 par value, 500,000,000 shares authorized, 189,709,516 shares issued and outstanding at December 31, 2025 and 200,824,993 shares issued and outstanding at December 31, 2024	1,897	2,008
Additional paid in capital	2,298,398	2,395,702
Distributions in excess of retained earnings	(635,349)	(574,940)
Total stockholders' equity	1,944,618	2,104,020
Total liabilities and stockholders' equity	\$ 3,029,005	\$ 3,106,639



Note: Percentages reflect estimated run rate EBITDA contribution and are shown pro forma for acquisitions at projected stabilized levels.



Hotel	City	State	Chain Scale Segment	Hotel Type	Rooms	Manager
Andaz Miami Beach	Miami Beach	Florida	Luxury	Resort, Urban	287	Hyatt
Four Seasons Resort Napa Valley	Calistoga	California	Luxury	Resort	85	Four Seasons
Hilton San Diego Bayfront	San Diego	California	Upper Upscale	Convention, Urban	1 190	Hilton
Hyatt Regency San Antonio Riverwalk	San Antonio	Texas	Upper Upscale	Convention, Urban	630	Hyatt
Hyatt Regency San Francisco	San Francisco	California	Upper Upscale	Convention, Urban	821	Hyatt
JW Marriott New Orleans	New Orleans	Louisiana	Luxury	Convention, Urban	501	Marriott
Marriott Boston Long Wharf	Boston	Massachusetts	Upper Upscale	Urban	415	Marriott
Marriott Long Beach Downtown	Long Beach	California	Upper Upscale	Convention, Urban	376	Marriott
Montage Healdsburg	Healdsburg	California	Luxury	Resort	130	Montage
Oceans Edge Resort & Marina	Key West	Florida	Upper Upscale	Resort	175	Singh
Renaissance Orlando at SeaWorld	Orlando	Florida	Upper Upscale	Resort, Convention, Urban	781	Marriott
The Bidwell Marriott Portland	Portland	Oregon	Upper Upscale	Urban	258	Sage
The Westin Washington, D.C. Downtown	Washington	District of Columbia	Upper Upscale	Convention, Urban	807	Marriott
Wailea Beach Resort	Wailea	Hawaii	Upper Upscale	Resort, Convention	543	Marriott



■ Resort ■ Convention ■ Urban

■ Luxury ■ Upper Upscale

■ Hyatt ■ Four Seasons ■ Hilton ■ Marriott ■ Montage ■ Singh ■ Sage



Asset Sales	\$610 Million
Asset Acquisitions	\$620 Million
Capital Investment	\$500 Million
Share Repurchases	\$300 Million



Renovations



- Conversion and renovation is similar to previous renovation of The Westin Washinton, DC Downton where converting from a Renaissance will grow transient market share and attract higher quality groups, driving both rate, occupancy, and ancillary rate
- Total RevPAR growth of over 48% in 2025 as hotel ramps up from renovation
- Generated approximately \$9 million of EBITDA growth in 2025
- Local market benefits from dynamic demand drivers including aerospace and defense, with expected future benefit from World Cup and LA Olympics



- Repositioning and renovation from adding more suites and premium room types will grow transient market share and attract higher quality groups, driving both rate, occupancy, and ancillary rate
- Opened in May 2025, formerly known as The Confidante Miami Beach
- In 2026, creating a on-property signature dining destination partnering with José Andrés Group to open The Bazaar and a beach club
- Renovated resort performed well in year-end 2025, delivering Q4 RevPAR growth contribution of 12.5% to portfolio, implying room revenue of \$33-\$35M



Acquisitions



- Sold Boston Park Plaza for \$370M to purchase Hyatt Regency San Antonio for \$230M, able to retain excess cash
- Has \$8M operator incentives for near-term ROI projects
- Prime downtown location that is near riverwalk, Alamo, and convention center
- Q4 RevPAR growth of 9.6%, convention hotels outperformed expectation
- Expected RevPAR growth of 4-7% for San Antonio Hyatt Regency from renovations, increased production, and positioning for future upside supporting EBITDA of \$225-\$250M



Sunstone operates in the upper-upscale and luxury segment of the U.S. lodging market

Key Operating Metrics

Occupancy

Percentage of available rooms sold over a give period

Why it matters:

Reflects demand strength and a hotel's ability to fill rooms

ADR

Average Daily Rate earned per occupied room

Why it matters:

Measures pricing power and rate growth across the portfolio

RevPAR

Revenue per Available Room, combining occupancy and ADR

Why it matters:

Provides a clear view of overall hotel revenue strength/ Performance

What This Means for Sunstone:

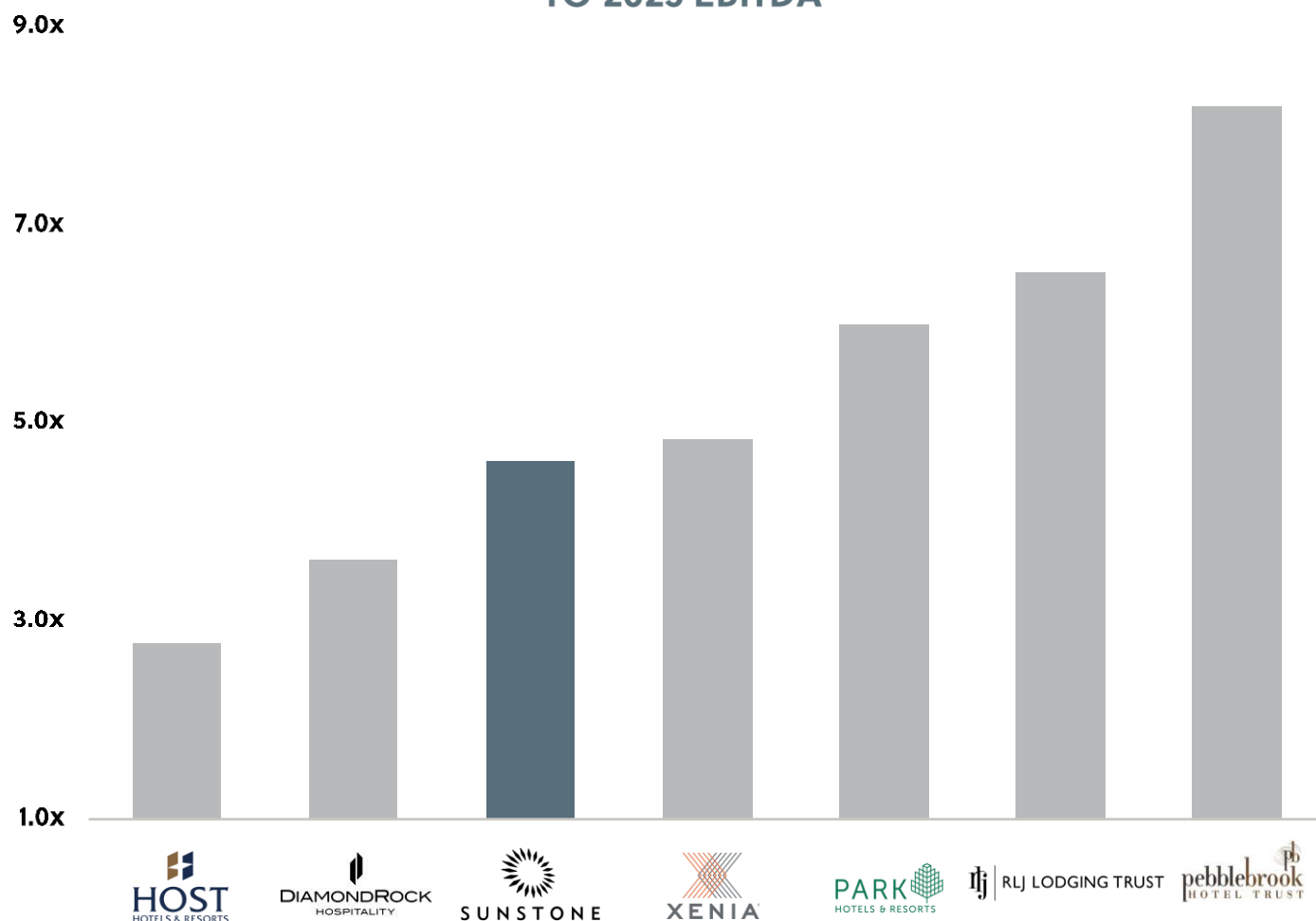
- Sunstone operates in the premium end of the U.S. lodging market, where differentiated real estate, stronger pricing power, and higher asset quality are most important.
- Its exposure across resort, convention, and urban properties provides participation in the industry's key demand channels while preserving premium market positioning.
- As a result, Sunstone is well positioned within a segment of lodging that is both operationally attractive and strategically relevant in a potential transaction process.



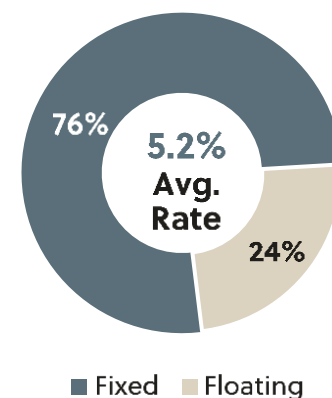


We maintain a lowly levered balance sheet which allows for significant capital allocation flexibility. Incremental earnings growth from our recent investments will add to our liquidity.

NET DEBT & PREFERRED EQUITY TO 2025 EBITDA



SUNSTONE BALANCE SHEET HIGHLIGHTS

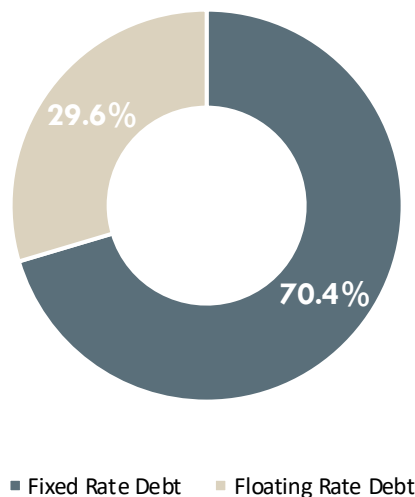


~4.7x
Net Debt & Preferred
to EBITDA

100%
Of Assets
Unencumbered



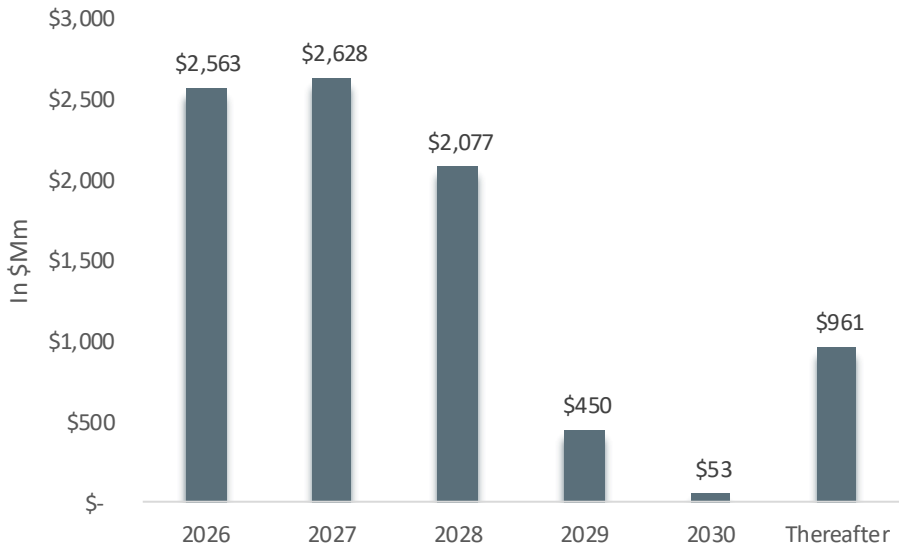
Interest Rate Composition



Capital Allocation Framework

Maintain moderate leverage and strong liquidity	Invest in property renovations and repositioning
Hotel acquisition opportunities	Share repurchase when attractive

Debt Maturity Schedule



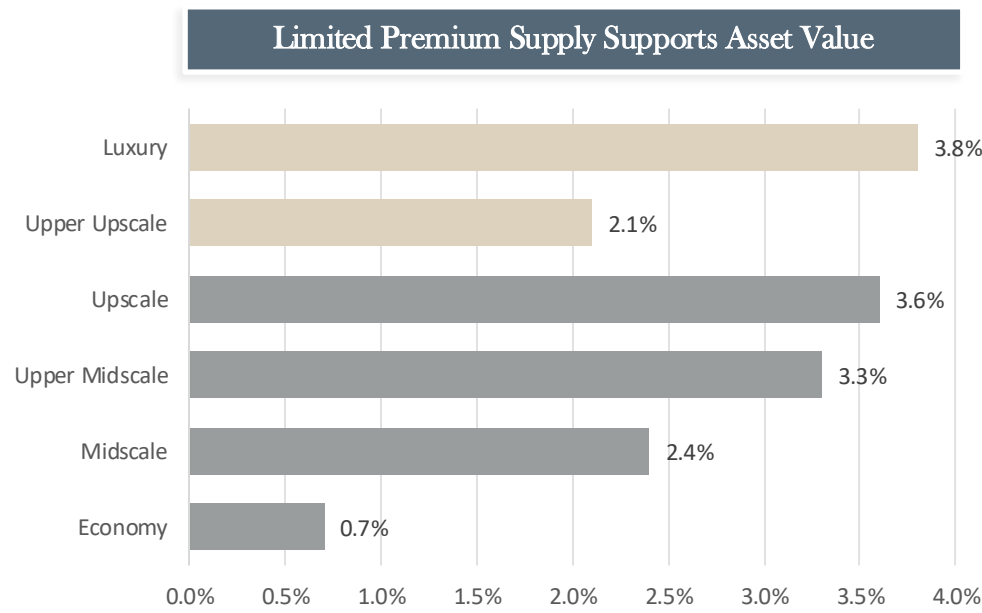
Balance Sheet Strategy

Staggered debt maturities reduce refinancing risk	Majority fixed-rate debt limits exposure to rising interest rates
Strong liquidity supports capital recycling and acquisitions	Moderate leverage consistent with lodging REIT peers

STRONG DEMAND, LIMITED SUPPLY



Recovering travel demand and constrained premium supply continue to support hotel fundamentals



Limited Premium Supply

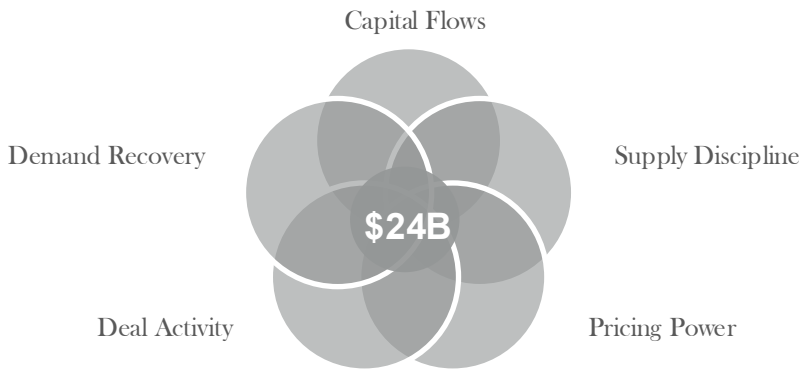
- New development remains disciplined
- Luxury and Upper Upscale face limited pipeline growth
- Scarcity supports existing high-quality assets

Pricing Power

- ADR remains a key driver of hotel performance
- Premium assets benefit from stronger rate resilience
- Higher-end hotels are less dependent on occupancy alone

Demand Recovery

- Leisure demand remains a stable base
- Group demand continues to improve
- Business travel remains a recovery lever



2025 U.S. Hotel Transaction Volume
+17.5% YoY

Rising deal activity supports a more credible sale environment for premium hotel portfolios.

Selected Commentary

Premium Outperformance

“Higher-priced hotels are once again expected to outperform in 2025.”
- CBRE, 2025 Global Hotel Outlook



Deal Momentum

“The U.S. hotel investment market demonstrated remarkable resilience in 2025.”
- JLL, 2025 U.S. Hotel Investment Trends Report

WHY BUYERS ARE CHECKING IN



Strategic Buyers

- Public lodging REITs and hotel owners may value additional scale, portfolio quality, and expanded exposure to premium lodging.
- Sunstone could strengthen a buyer's presence in attractive resort, convention, and urban markets.

Private Equity

- Financial sponsors may be attracted to the combination of real estate value, operational upside, and portfolio repositioning opportunities.
- Premium hotel assets can support value creation through active asset management and capital allocation.

Institutional Capital

- Sovereign wealth funds, pension capital, and large real estate investors may value differentiated hotel assets with long-term portfolio relevance.
- High-quality lodging portfolios can offer both real asset exposure and participation in travel demand recovery.

Why Buyers Favor Premium Hotel Portfolios

Premium Positioning

- Luxury and upper-upscale hotels benefit from stronger pricing power and more differentiated real estate than lower chain scales.
- Higher-priced hotels are expected to outperform in 2025, reinforcing buyer interest in premium lodging exposure.

Diversified Demand Base

- Exposure across resort, convention, and urban properties provides participation in leisure, group, and business travel demand.
- A broader demand mix can support portfolio resilience as travel trends continue normalizing.

Scarcity + Timing

- Limited new supply in Luxury and Upper Upscale supports the value of existing high-quality hotel assets.
- Improving hotel transaction activity creates a more credible backdrop for strategic and financial buyers to pursue premium portfolios.

Transaction Implications

- Premium positioning and limited new supply support the value of existing high-quality hotel assets, particularly in the upper-upscale and luxury segments.
- Improving lodging fundamentals and stronger transaction activity create a more credible backdrop for a potential sale process across premium hotel portfolios.

Buyer Priorities

- Buyers are likely to prioritize premium assets with strong real estate quality and exposure to multiple demand drivers across key lodging markets.
- Portfolios with pricing power, diversified demand exposure, and strategic relevance are likely to attract broader buyer interest in a transaction process.

Investor appetite remains supportive
as 94% of hotel investors expect investment to remain the same or increase in 2025

Mid-Single Digit Increase
expected in inbound international visitation in 2025

RISKS AND MITIGATIONS



Risk		Mitigation
1	Selling Below Intrinsic Value	Competitive auction process to maximize premium
2	Loss of Future Industry Growth	Sell at premium reflecting forward demand outlook
3	Unrealized Renovation Upside	Highlight pipeline value in buyer marketing
4	Transaction Execution Risk	Target well-capitalized strategic and PE buyers



Portfolio Exposure to Cyclical Travel Demand

- **Diversified Demand Base:** Sunstone's portfolio spans resort, convention, and urban assets, providing exposure to leisure, group, and corporate travel demand.
- **Premium Market Positioning:** Assets are concentrated in luxury and upper-upscale segments, which historically demonstrate stronger pricing power and resilience.
- **Limited Premium Supply:** Development of luxury hotels remains constrained, supporting ADR and asset value.

Operational Cost Pressures

- **Operational Efficiency Initiatives:** Opportunities for improved cost management and operational optimization across properties.
- **Revenue Management Upside:** Enhanced pricing strategies and brand distribution can improve RevPAR performance.
- **Scale Benefits:** Integration into a larger hospitality platform may generate procurement and operational synergies.

CapEx and Renovation Requirements

- **Proven Value Creation Strategy:** Renovations and repositioning have historically driven significant RevPAR growth in the portfolio.
- **Selective Capital Allocation:** Targeted investments in high-ROI projects such as room upgrades, premium suites, and experiential amenities.
- **Portfolio Repositioning Opportunities:** Ability to convert independent or underperforming properties into stronger branded assets.

Market Valuation Volatility

- **Private Market Opportunity:** Acquisition at a discount allows buyers to unlock value through operational improvements and portfolio repositioning.
- **Strong Real Estate Fundamentals:** High-quality assets located in major U.S. markets with strong long-term demand drivers.
- **Active Asset Management:** Ability to drive value through strategic capital recycling and asset optimization.

HIGH DEGREE OF OPTIONALITY



Conservative Case

- Acquire full portfolio
- Operate existing hotels
- Maintain long-term ownership
- Exit in 5+ years

Base Case

- Acquire portfolio
- Improve operations
- Strategic renovations
- Exit after stabilization

Value Creation Case

- Acquire portfolio
- Sell lower-performing assets
- Focus on premium hotels
- Improve portfolio quality

Upside Case

- Sell non-core assets early
- Reinvest capital into upgrades
- Potential refinancing
- Exit optimized portfolio

Strategic asset sales provide early liquidity while improving portfolio quality and long-term value creation.



Demand Shock

- Travel restrictions and lockdowns caused unprecedented drop in hotel demand
- U.S. hotel occupancy dropped 24.5% at the peak of COVID-19
- Group, convention, and international travel were most impacted

Revenue Decline

- RevPAR dropped 48%
- ADR declined 21%
- Thousands of hotels temporarily closed or operated at minimal capacity

Operational Adjustments

- Cost cut by reducing staff (decline in 48.6%), services, amenities
- Increased focus on health, sanitation, and safety protocols
- Hotels adapted contactless technology and digital check-ins

Industry Recovery

- Revenue rebounded in 2021
- By 2023, 60%+ of hotel market recovered RevPAR to 2019 levels
- Had ADR growth of 7.8% and RevPAR growth of 10.4% YoY
- Luxury and upper-upscale hotels recorded RevPAR growth of 4.9%-5.4%, shows stronger pricing power



We take a holistic approach to our business and balance the interests of all stakeholders, including the environment, our employees, our capital providers, the hotel associates, guests and the communities in which we own hotels.

ENVIRONMENTAL SUSTAINABILITY

Reduce our environmental footprint and mitigate climate-related risks to our company and portfolio



10% reduction in Energy Intensity per square foot by 2035



45% reduction in Carbon Emissions Intensity per square foot by 2035



10% reduction in Water Intensity per occupied room by 2035



40% of portfolio is ENERGY STAR certified

SOCIAL RESPONSIBILITY

Support the communities where we work and own hotels. Provide resources to our employees and hotel operators to promote health, safety and wellbeing.



Donated over **\$800,000** to nearly 200 charities, since 2015

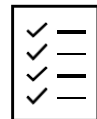


Fully support and encourage our operators to adopt and abide by the American Hotel & Lodging Association's **5-Star Promise**

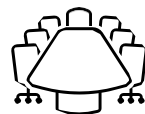
CORPORATE GOVERNANCE



Adopted a shareholder's right to amend bylaws, opted out of Maryland Business Combination Act, prohibited adopting a shareholder's rights plan, and adopted proxy access.



Enterprise-level risk assessment conducted quarterly by the Audit Committee and reviewed annually by the entire Board.



Non-classified board with annual election of all directors with majority voting in all uncontested elections.



- <https://www.sunstonehotels.com/home/default.aspx>
- <https://www.costar.com/article/1115264290/resort-property-strength-fuels-fourth-quarter-gains-for-sunstone>
- https://finance.yahoo.com/quote/SHO-PI/earnings/SHO-PI-Q4-2025-earnings_call-413805.html
- <https://infogram.com/fig1-1hnp27evox30n4g>
- <https://www.fortunebusinessinsights.com/luxury-hotel-market-10440>
- <https://www.fortunebusinessinsights.com/hotel-market-104983>
- <https://www.maximizemarketresearch.com/market-report/hotels-market/47478/>
- <https://www.cbre.com/insights/reports/h2-2025-global-hotel-outlook>
- <https://www.pwc.com/us/en/industries/financial-services/asset-wealth-management/real-estate/emerging-trends-in-real-estate-pwc-uli/property-type-outlook/hospitality.html>
- <https://braemar.q4ir.com/investor/news-events/press-releases/news-details/2025/BRAEMAR-HOTELS--RESORTS-ANNOUNCES-INITIATION-OF-SALE-PROCESS/default.aspx>
- <https://www.hotelinvestmenttoday.com/Forecasts/LARC-predicts-zero-point-six-percent-US-RevPAR-growth-in-2026>
- <https://www.federalreserve.gov/releases/z1/dataviz/dfa/distribute/chart/>

COMPARABLE ANALYSIS



Company Name	EV/EBITDA NTM (x)	P/CFFO NTM (x)	P/NAV (x)	Occupancy	(Debt+Pref) / EV (x)	Valuation Imp Cap Rate (%)
Sunstone Hotel Investors	11.25x	9.98x	0.73x	71.0%	0.44x	8.90%
RLJ Lodging Trust	11.96x	5.64x	0.63x	-	0.82x	-
Xenia Hotels & Resorts	10.37x	10.46x	0.84x	68.5%	0.52x	9.00%
Pebblebrook	13.94x	8.31x	0.70x	73.0%	0.53x	8.30%
DiamondRock Hospitality	10.79x	8.46x	0.75x	71.9%	0.41x	9.50%
Braemar Hotels & Resorts	12.09x	-	0.79x	65.2%	0.98x	-
Apple Hospitality REIT	10.12x	8.06x	0.79x	74.1%	0.37x	11.10%
Host Hotels & Resorts	10.64x	9.24x	0.79x	69.7%	0.30x	9.15%
Average	11.39x	8.59x	0.75x	70.5%	0.55x	9.33%
Median	11.02x	8.46x	0.77x	71.0%	0.48x	9.08%

PRECIDENT TRANSACTIONS



SHO - Comparable M&A Transactions:

Target Name	Acquirer Name	Date	Percentage Acquired	Transaction Value	Target Value Implied	EBITDA (M)	EV / EBITDA	LTM Revenue (M)
Sotherly Hotels REIT	KWHP and Ascendant Capital	2025	50.0%	365.9	731.8	\$37	10.1 x	\$179
Hersha Hospitality Trust	KSL Advisors LLC	2022	100.0%	857.6	857.6	\$84	8.9 x	\$361
CorePoint Lodging Inc.	CorePoint Lodging Inc.	2021	100.0%	1,343.6	1,343.6	\$50	26.9 x	\$463
Chesapeake Lodging Trust	Park Hotels & Resorts	2019	100.0%	2,678.0	2,678.0	\$172	15.3 x	\$592
LaSalle Hotel Properties	Pebblebrook Hotel Trust	2018	100.0%	4,269.0	4,269.0	\$298	13.7 x	\$1,084
	Maximum			\$ 4,269.0		\$ 298.0	26.9 x	\$ 1,084.0
	75th Percentile			2,678.0		172.0	15.3 x	592.0
	Median			1,343.0		84.0	13.7 x	463.0
	25th Percentile			857.6		50.0	10.1 x	361.0
	Minimum			365.9		37.0	8.9 x	179.0



Valuation Module

WACC Analysis (\$ in Millions)

Inputs		Cost of Debt Calculation	
Risk Free Rate	4.15%	Pre-Tax Cost of Debt	6.0%
Yield-to-Maturity of Debt	6.00%	Corporate Tax Rate	5.0%
Equity Risk Premium	4.46%	After-Tax Cost of Debt	5.7%
Beta	0.97		
Corporate Tax Rate	5.0%		
Common Shares	194.2		
Share Price	\$9.35		
Market Value of Debt	\$917		

Cost of Equity Calculation	
Risk Free Rate	4.2%
Equity Risk Premium	4.5%
Beta	0.97
Cost of Equity	8.5%

WACC Calculation			
	Amount	% Total	Cost of Capital
Market Value of Debt	\$917	33.6%	5.7%
Market Value of Equity	1.816	66.4%	8.5%
Enterprise Value	\$2,733	100.0%	7.5%


Valuation Module
Discounted Cash Flow Analysis (\$ in Millions)

	2023A	2024A	2025A	Fiscal Year Ended December 31,				
				2026E	2027E	2028E	2029E	2030E
Discounted Cash Flow Analysis								
Years				1.0	2.0	3.0	4.0	5.0
Revenue	985.9	905.81	960.13	\$999	\$1,028	\$1,049	\$1,070	\$1,091
Operating Expenses	414.67	826.68	885.29	900	915	930	945	961
Operating Income	571.23	79.13	74.84	\$99	\$114	\$119	\$125	\$131
EBITDA	698.29	203.64	209.35	239.87	259.92	269.79	279.19	288.08
Taxes @ 0.9%	4.97	0.69	0.65	1	1	1	1	1
Tax-Effectuated EBIT	566.26	78.44	74.19	\$98	\$113	\$118	\$124	\$130
Plus: Depreciation	127.06	124.51	134.51	\$141	\$146	\$151	\$154	\$157
Change in Working Capital								
Less: Capital Expenditures	92.4	157.4	103	(114)	(98)	(100)	(102)	(109)
Unlevered Free Cash Flow				\$125	\$161	\$169	\$176	\$178
Present Value @ a Discount Rate of:	7.5%			\$116	\$139	\$136	\$132	\$124
Present Value of Projection Period								647

Perpetuity Method

Present Value of Projection Period	\$647
2030 Free Cash Flow	\$178
Perpetuity Growth Rate	2.0%
Terminal Value	\$3,271
Years	5.0
Present Value of Terminal Value	\$2,274
Total Enterprise Value	\$2,921
Implied EBITDA Multiple	11.4x

EBITDA Exit Multiple Method

Present Value of Projection Period	\$647
2025 EBITDA	\$288
EBITDA Multiple	13.2x
Terminal Value	\$3,803
Years	5.0
Present Value of Terminal Value	\$2,643
Total Enterprise Value	\$3,291
Implied Perpetuity Growth Rate	2.7%

	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	905.81	960.13	\$999	\$1,028	\$1,049	\$1,070	\$1,091
EBIT	79.13	74.84	\$99	\$114	\$119	\$125	\$131
EBITDA	79.13	74.84	99.00	114.00	119.00	125.00	131.00

DCF ASSUMPTIONS



Assumption Name	Average Over Last 8 Years	2026E	2027E	2028E	2029E	2030E
Revenue	+2%	+4% World Cup Company 10k	+3% Hotel Cap Ex finishes and maturity	+2% Standard CapEx effects mature back to normal	+2% Standard	+2% Standard
Operating Cost	+1.65%	+1.65%	+1.65%	+1.65%	+1.65%	+1.65%
Depreciation	+2%	+5% \$103M of 2025 Cap Ex Begins Maturing	+3.5% Heavy 2024 & 2025 Cap Ex Impacts	+3% Continued Adjustment	+2.5% Continued Adjustment	+2%
Change Net Working Capital	\$3M	\$3M	\$3M	\$3M	\$3M	\$3M



Valuation Module

Valuation Summary (\$ in Millions)

	Target Metric	Multiple	Enterprise Value	-	Net Debt	=	Equity Value	/	Shares Outstanding	=	Stock Price
<u>Comparable Companies Analysis</u>											
2025 EBITDA	209	11.0x	2,307		\$933		1,374		189.7		7.24
2025 AFFO	168	10.6x	2,709		\$933		1,776		189.7		9.36
<u>Acquisition Comparables Analysis</u>											
2025 Revenue	\$960	2.9x	\$2,784		\$933		\$1,852		189.7		\$9.76
2025 EBITDA	209	13.7x	2,868		933		1,935		189.7		10.20
<u>Discounted Cash Flow Analysis</u>											
Perpetuity Method			\$2,921		\$933		\$1,988		189.7		\$10.48
EBITDA Exit Multiple Method			3,291		933		2,358		189.7		12.43
Current Valuation			\$2,707		\$933		\$1,774		189.7		\$9.35



Valuation Method	Low	High	Median	Mean	Bar Start	Bar Width
Analyst Ratings			\$10.65	\$10.73		
Net Asset Value	\$13.21	\$13.46	\$13.34	\$13.34	\$13.21	\$0.25
Comparable Analysis	\$7.24	\$9.36	\$8.30	\$8.30	\$7.24	\$2.12
DCF	\$10.20	\$12.43	\$11.32	\$11.32	\$10.20	\$2.23
Precedent Transactions	\$9.76	\$10.20	\$9.98	\$9.98	\$9.76	\$0.44
Analyst Ratings	\$9.00	\$11.00			\$9.00	\$2.00
52-Week Range	\$7.45	\$9.38			\$7.45	\$1.93
Summary Statistics	Value					
Current Stock Price	\$9.35					
Mean	\$10.73					
Median	\$10.65					

SUNSTONE

HOTEL INVESTORS